**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)
**CONSOLIDATED FINANCIAL STATEMENTS**
**AND INDEPENDENT AUDITOR'S REPORT**
**FOR THE YEAR ENDED 31 DECEMBER 2024**

**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)

**CONSOLIDATED FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT FOR THE YEAR ENDED 31 DECEMBER 2024**

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PKF Al-Bassam
Chartered Accountants

# INDEPENDENT AUDITOR'S REPORT

## TO THE SHAREHOLDERS OF SAUDI CERAMIC COMPANY
## A SAUDI JOINT STOCK COMPANY



## REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

### OPINION

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Saudi Ceramic Company (the "Company") and its subsidiaries (collectively referred to as the "Group") as at 31 December 2024, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by Saudi Organization for Chartered and Professional Accountants (SOCPA).

We have audited the consolidated financial statements of the group, which comprise of the following:

- The consolidated statement of financial position as at 31 December 2024;
- The consolidated statements of profit or loss and other comprehensive income for the year then ended;
- The consolidated statement of changes in equity for the year then ended;
- The consolidated statement of cash flows for the year then ended, and;
- The notes to the consolidated financial statements, comprising material accounting policy information and other explanatory information.

### BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent from the Group in accordance with the International Code of Ethics for Professional Accountants that are endorsed in the Kingdom of Saudi Arabia that are relevant to our audit of the consolidated financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

### KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

## INDEPENDENT AUDITOR'S REPORT

## TO THE SHAREHOLDERS OF SAUDI CERAMIC COMPANY
## A SAUDI JOINT STOCK COMPANY



## REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

## KEY AUDIT MATTERS

| Key Audit Matters | How our audit addressed the key audit matter |
|---|---|
| **Inventory Valuation** | |
| The Group's inventory for the year ended 31 December 2024 amounted to SR 704.6 million (2023: 900.3 million) after deducting the provision amounting to SR 124.5 million (2023: 113.8 million)<br>Inventories are stated at the lower of cost and net realizable value. Group adopted the policy of providing for inventories identified as obsolete or slow – moving which are not expected to be sold / used in the normal business cycle and when there is an evidence of deterioration in the physical condition, design changes and / or no movement in specific period.<br><br>We considered this as a key audit matter because establishing a provision for slow-moving, obsolete and damaged inventory involves significant management judgement in respect of factors such as identifying the slow-moving and obsolete inventories, and assessing their respective allowance for each class of inventory.<br><br>Refer to material accounting policy information in note 4 for inventory policy, and note 9 for more detail of inventory. | We have performed the following procedures:<br><br>• Evaluated the management policy for recording the provision for raw material, spare parts and finished goods inventory.<br><br>• Attended the physical inventory count at the year-end to verify the existence of inventory.<br><br>• Evaluated the cost of the inventories at year-end and ensured that inventories are carried at weightage average rate<br><br>• Evaluated, on a sample basis, whether finished goods inventories were stated at the lower of cost or net realizable value at the reporting date by comparing the recent sales prices.<br><br>• Considered the appropriateness of the allowance for damaged, slow-moving, and obsolete raw materials and spare parts as per the Group methodology<br><br>• Evaluated on sample basis, the provision recorded against raw material and spare parts and ensured the valuation is appropriate.<br><br>• Evaluated the adequacy of the inventory disclosures included in the consolidated financial statements. |



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## INDEPENDENT AUDITOR'S REPORT

## TO THE SHAREHOLDERS OF SAUDI CERAMIC COMPANY
## A SAUDI JOINT STOCK COMPANY



REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

### OTHER MATTER

The consolidated financial statements of the Company for the year ended 31 December 2023 were audited by another auditor, who expressed a modified opinion dated Ramadan 13, 1445 H (corresponding to March 23, 2024) The basis for qualified opinion of the predecessor auditor was as follows:

"The accompanying consolidated statement of financial position include property, plant, and equipment of the Group amounting to Saudi Riyals 1,513 million as at December 31, 2023, the management of the Group has performed detailed assessment to determine the recoverable value of property, plant and equipment of one of its subsidiaries, Ceramic Pipes Company ("CPC"), which resulted in an impairment loss of Saudi Riyals 78 million. While identifying the smallest cash generating unit ("CGU") management has considered all of property, plant and equipment of CPC as a single CGU. Determining the land to be part of the CGU is not in line with International Accounting Standard 36 - Impairment of Assets. Had the land been excluded from the CGU, based on the valuation performed by management, the impairment loss for the year and net loss for the year would have been increased by Saudi Riyals 68 million."

However, we are of the conclusion that the inclusion of land to be part of the CGU is in line with International Accounting Standard 36 - Impairment of Assets on the premise that the land is part of the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

### OTHER INFORMATION

Management is responsible for the other information. The other information comprises the information included in the Annual Report of the Group but does not include the consolidated financial statements and our auditor's report thereon, which is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the Annual Report of the Group, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

PKF Al-Bassam
Chartered Accountants

## INDEPENDENT AUDITOR'S REPORT

## TO THE SHAREHOLDERS OF SAUDI CERAMIC COMPANY
## A SAUDI JOINT STOCK COMPANY



REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

### RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSILDATED FINANCIAL STATEMENTS

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the SOCPA and Regulations for Companies and the Company's Bylaws and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, i.e. the Board of Directors, are responsible for overseeing the Group's financial reporting process.

### AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. 'Reasonable assurance' is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with the International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.

## INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF SAUDI CERAMIC COMPANY
A SAUDI JOINT STOCK COMPANY



REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

### AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS (Continued)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group's to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for direction, supervision and performance of group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

PKF Al-Bassam
Chartered Accountants

## INDEPENDENT AUDITOR'S REPORT

## TO THE SHAREHOLDERS OF SAUDI CERAMIC COMPANY
## A SAUDI JOINT STOCK COMPANY



## REPORT ON THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

For PKF Al Bassam
chartered accountants

Ahmed Abdulmajeed Mohandis
Certified Public Accountant
License No. 477
Riyadh: 3 Ramadan1446H
Corresponding to: 3 March 2025

شركة بي كي اف البسام
محاسبون ومراجعون قانونيون
C. R. 1010385804
PKF Al Bassam
chartered accountants



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**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)
**CONSOLIDATED STATEMENT OF FINANCIAL POSITION**
**AS AT 31 DECEMBER 2024**
(In Saudi Riyals Thousand)

| | Note | 31 December 2024 | 31 December 2023 (Restated – Note 33) | 1 January 2023 (Restated – Note 33) |
|---|---|---|---|---|
| **Assets** | | | | |
| **Non-current assets** | | | | |
| Property, plant and equipment, net | 5 | **1,546,358** | 1,513,398 | 1,611,045 |
| Right of use assets, net | 6 | **105,967** | 86,446 | 87,532 |
| Intangible assets, net | | **6,285** | - | - |
| Investment in associate | 7 | **-** | 1,283 | 9,054 |
| Financial assets at fair value through OCI ("FVOCI") | 8 | **7,877** | 7,816 | 7,421 |
| **Total non-current assets** | | **1,666,487** | 1,608,943 | 1,715,052 |
| **Current assets** | | | | |
| Inventories, net | 9 | **704,580** | 900,259 | 957,439 |
| Trade and other receivables | 10 | **263,174** | 286,865 | 275,341 |
| Assets held for sale | 12 | **72** | 8,955 | - |
| Cash and cash equivalents | 11 | **42,296** | 63,754 | 69,590 |
| Financial derivative | | **-** | - | 6,647 |
| **Total current assets** | | **1,010,122** | 1,259,833 | 1,309,017 |
| **Total assets** | | **2,676,609** | 2,868,776 | 3,024,069 |
| **Equity and liabilities** | | | | |
| **Equity** | | | | |
| Share capital | 13 | **1,000,000** | 800,000 | 800,000 |
| Statutory reserve | 14 | **-** | 241,715 | 241,715 |
| Treasury shares | 15 | **(9,112)** | (449) | (2,663) |
| Fair value reserve | | **3,652** | 3,591 | 3,196 |
| Retained earnings | | **429,053** | 459,652 | 707,454 |
| **Total equity attributable to the shareholders** | | **1,423,593** | 1,504,509 | 1,749,702 |
| Non-controlling interest | 31 | **1,107** | 9,656 | 36,770 |
| **Total equity** | | **1,424,700** | 1,514,165 | 1,786,472 |
| **Liabilities** | | | | |
| **Non-current liabilities** | | | | |
| Long-term borrowings, non-current portion | 16.1 | **219,040** | 299,229 | 282,805 |
| Lease liabilities, non-current portion | 6 | **62,583** | 65,570 | 68,712 |
| Employees' post-employment benefits | 17 | **90,808** | 87,620 | 90,868 |
| **Total non-current liabilities** | | **372,431** | 452,419 | 442,385 |
| **Current liabilities** | | | | |
| Short term borrowings | 16.3 | **405,855** | 279,972 | 161,225 |
| Long-term borrowings, current portion | 16.1 | **110,950** | 231,376 | 220,374 |
| Lease liabilities, current portion | 6 | **34,645** | 15,773 | 13,444 |
| Trade and other payables | 18 | **317,233** | 341,097 | 369,988 |
| Zakat provision | 19 | **10,795** | 33,974 | 30,181 |
| **Total current liabilities** | | **879,478** | 902,192 | 795,212 |
| **Total liabilities** | | **1,251,909** | 1,354,611 | 1,237,597 |
| **Total equity and liabilities** | | **2,676,609** | 2,868,776 | 3,024,069 |

The accompanying Notes from (1) to (35) form an integral part of these consolidated financial statements

| Abdulaziz Abdulkareem Alkhuraiji | Azzam Saud Al-Mudaihim | Mohamed Shaaban |
|---|---|---|
| Vice Chairman of the Board | Chief Executive Officer | Chief Financial Officer |

**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)
**CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME**
**FOR THE YEAR ENDED 31 DECEMBER 2024**
(In Saudi Riyals Thousand)

| | Note | 2024 | 2023 |
|---|---|---|---|
| **Profit or loss** | | | |
| Revenues, net | **20** | **1,348,797** | 1,314,868 |
| Cost of sales | **21** | **(1,095,053)** | (1,077,545) |
| **Gross profit** | | **253,744** | 237,323 |
| Selling and marketing expenses | **22** | **(227,967)** | (197,865) |
| General and administrative expenses | **23** | **(64,669)** | (61,435) |
| Reversal of provision against legal cases | | **2,894** | - |
| Reversal / (provision) of expected credit losses | **10-B** | **4,421** | (5,499) |
| Impairment loss on subsidiary and business unit | **5-E,5-F** | **(51,070)** | (78,224) |
| Impairment loss of property, plant, and equipment due to fire | **32** | **-** | (136,880) |
| Impairment of inventories due to fire | **9,32** | **-** | (27,964) |
| **Operating (loss)** | | **(82,647)** | (270,544) |
| Other income | **25** | **57,616** | 97,257 |
| Finance costs | **24** | **(46,163)** | (42,967) |
| Share of results of associate | **7** | **-** | 205 |
| **Net loss before zakat** | | **(71,194)** | (216,049) |
| Zakat Expense | **19** | **(8,058)** | (21,470) |
| **Net loss for the year** | | **(79,252)** | (237,519) |
| **Other Comprehensive Income** | | | |
| Items not to be reclassified to profit or loss in subsequent years | | | |
| Remeasurement gain on defined employees' benefit plan obligations | **17** | **(435)** | 2,587 |
| Change in the Fair Value of Financial assets at FVOCI | **8** | **61** | 395 |
| **Total other Comprehensive (loss) / income** | | **(374)** | 2,982 |
| **Total comprehensive loss for the Year** | | **(79,626)** | (234,537) |
| | | | |
| **Net loss for the year attributable to:** | | | |
| Shareholders of the Group | | **(71,859)** | (210,351) |
| Non-Controlling Interest | **31** | **(7,393)** | (27,168) |
| | | **(79,252)** | (237,519) |
| **Losses per share (SAR)** | | | |
| Basic and diluted loss per share attributable to shareholders | **28** | **(0.80)** | (2.33) |
| | | | |
| **Total Comprehensive loss for the year attributable to:** | | | |
| Shareholders of the Group | | **(72,253)** | (207,423) |
| Non-Controlling Interest | | **(7,373)** | (27,114) |
| | | **(79,626)** | (234,537) |

The accompanying Notes from (1) to (35) form an integral part of these consolidated financial statements

| Abdulaziz Abdulkareem Alkhuraiji | Azzam Saud Al-Mudaihim | Mohamed Shaaban |
|---|---|---|
| Vice Chairman of the Board | Chief Executive Officer | Chief Financial Officer |

**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)
**CONSOLIDATED STATEMENT OF CHANGES IN EQUITY**
**FOR YEAR ENDED DECEMBER 31, 2024**
(In Saudi Riyals Thousand)

| | Share capital | Statutory reserve | Treasury shares | Fair value reserve | Retained earnings | Total equity attributable to the shareholders | Non-controlling interest | Total Equity |
|---|---|---|---|---|---|---|---|---|
| **For the year ended 31 December 2023** | | | | | | | | |
| Balance as of January 1, 2023 | 800,000 | 241,715 | (2,663) | 3,196 | 707,454 | 1,749,702 | 36,770 | 1,786,472 |
| Net loss for the year | - | - | - | | (210,351) | (210,351) | (27,168) | (237,519) |
| Other comprehensive income | - | - | - | 395 | 2,533 | 2,928 | 54 | 2,982 |
| **Total comprehensive (loss) for the year** | - | - | - | 395 | (207,818) | (207,423) | (27,114) | (234,537) |
| Issuance of treasury shares | - | - | 2,214 | - | - | 2,214 | - | 2,214 |
| Dividends paid | - | - | - | - | (39,984) | (39,984) | - | (39,984) |
| **Balance as of 31 December 2023** | 800,000 | 241,715 | (449) | 3,591 | 459,652 | 1,504,509 | 9,656 | 1,514,165 |
| **For the year ended 31 December 2024** | | | | | | | | |
| Balance as of January 1, 2024 | **800,000** | **241,715** | **(449)** | **3,591** | **459,652** | **1,504,509** | **9,656** | **1,514,165** |
| Net loss for the year | - | - | - | - | **(71,859)** | **(71,859)** | **(7,393)** | **(79,252)** |
| Other comprehensive (loss) / income for the year | - | - | - | **61** | **(455)** | **(394)** | **20** | **(374)** |
| **Total comprehensive (loss) for the year** | - | - | - | **61** | **(72,314)** | **(72,253)** | **(7,373)** | **(79,626)** |
| Issuance of bonus shares (Note 13) | **200,000** | - | - | - | **(200,000)** | - | - | - |
| Transferring the statutory reserve to retained earnings (Note 14) | - | **(241,715)** | - | - | **241,715** | - | - | - |
| Purchase of treasury shares (Note 15) | - | - | **(8,663)** | - | - | **(8,663)** | - | **(8,663)** |
| Acquisition of non-controlling interest (Note 1) | - | - | - | - | - | - | **(1,176)** | **(1,176)** |
| **Balance as of 31 December 2024** | **1,000,000** | - | **(9,112)** | **3,652** | **429,053** | **1,423,593** | **1,107** | **1,424,700** |

The accompanying Notes from (1) to (35) form an integral part of these consolidated financial statements

| Abdulaziz Abdulkareem Alkhuraiji | Azzam Saud Al-Mudaihim | Mohamed Shaaban |
|---|---|---|
| Vice Chairman of the Board | Chief Executive Officer | Chief Financial Officer |

**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)

**CONSOLIDATED STATEMENT OF CASH FLOWS**
**FOR THE YEAR ENDED 31 DECEMBER 2024**
(In Saudi Riyals Thousand)

| | Note | 2024 | 2023 (Restated – Note 33) |
|---|---|---|---|
| **Cash flows from operating activities** | | | |
| Net loss for the year before zakat | | **(71,194)** | (216,049) |
| **Adjustments to reconcile net loss for the year before zakat to net cash provided by operating activities** | | | |
| Depreciation of property, plant, and equipment | 5 | **117,142** | 122,954 |
| Gains from the sale of property, plant, and equipment | 25 | **(8,034)** | (36,801) |
| Gains from the sale of assets held for sale | 12 | **(4,292)** | - |
| Depreciation of right-of-use assets | 6 | **19,539** | 16,454 |
| Amortization of intangible assets | | **358** | - |
| (Reversal) / Provision charged for expected credit losses | 10 | **(4,421)** | 5,499 |
| Provision for customer's incentive, net | 10 | **(2,505)** | 32,153 |
| Net provision charged for damaged, obsolete, and slow-moving Inventories | 9 | **43,548** | 63,434 |
| Impairment loss on Inventories related to a fire incident | | **-** | 27,964 |
| Acquisition of non-controlling interest | | **(1,176)** | - |
| Impairment of property, plant, and equipment related to a fire incident | | **-** | 136,880 |
| Impairment loss on subsidiary and business unit | 5 | **51,070** | 78,224 |
| Reversal of legal case provision | | **(2,894)** | - |
| Reversal of zakat provision | 19 | **(4,858)** | |
| Finance costs | | **46,163** | 49,648 |
| Employees' post-employment benefits charged | 17 | **13,276** | 13,008 |
| Change on derivative financial assets | | **-** | 6,647 |
| Gain on sale of investment in associates | 7 | **(3,807)** | (23,137) |
| Group's share from associate's profit | | **-** | (205) |
| | | **187,915** | 276,673 |
| **Changes in operating assets and liabilities** | | | |
| Trade and other receivables | | **30,617** | (49,176) |
| Inventories | | **152,131** | (34,218) |
| Trade and other payables | | **(20,970)** | (28,891) |
| Employees' post-employment benefits paid | 17 | **(10,523)** | (13,669) |
| Zakat paid | 19 | **(26,379)** | (17,677) |
| **Net cash generated from operating activities** | | **312,791** | 133,042 |
| **Cash flows generated from investment activities** | | | |
| Purchase of property, plant, and equipment | 5 | **(203,034)** | (263,363) |
| Acquisition of intangible assets | | **(6,643)** | - |
| Proceeds from sale of property, plant, and equipment | | **9,896** | 50,798 |
| Proceeds from sale of assets held for sale | 12 | **13,175** | - |
| Proceeds from sale of investment in associates | 7 | **5,090** | 30,605 |
| Dividends received from associate | | **-** | 508 |
| **Net cash used in investment activities** | | **(181,516)** | (181,452) |

The accompanying Notes from (1) to (35) form an integral part of these consolidated financial statements.

| Abdulaziz Abdulkareem Alkhuraiji | Azzam Saud Al-Mudaihim | Mohamed Shaaban |
|---|---|---|
| Vice Chairman of the Board | Chief Executive Officer | Chief Financial Officer |

**SAUDI CERAMIC COMPANY**
(Saudi Joint Stock Company)
**CONSOLIDATED STATEMENT OF CASH FLOWS (Continued)**
**FOR THE YEAR ENDED 31 DECEMBER 2024**
(In Saudi Riyals Thousand)

| | Note | 2024 | 2023 (Restated – Note 33) |
|---|---|---|---|
| **Cash flows from financing activities** | | | |
| Proceeds from short-term borrowings | 16 | **667,329** | 118,164 |
| Repayments of short-term borrowings | 16 | **(543,180)** | - |
| Proceeds from Long-term borrowings | 16 | **305,546** | 236,002 |
| Repayments of long-term borrowings | 16 | **(505,815)** | (209,482) |
| Dividend paid | | **-** | (39,984) |
| Treasury shares (issued) /disposal | 15 | **(8,663)** | 2,214 |
| Lease liabilities paid | 6 | **(29,342)** | (19,244) |
| Finance costs paid | | **(38,608)** | (45,096) |
| **Net cash (used in) / generated from financing activities** | | **(152,733)** | 42,574 |
| **Net change in cash and cash equivalents** | | **(21,458)** | (5,836) |
| Cash and cash equivalents at the beginning of the year | | **63,754** | 69,590 |
| **Cash and cash equivalents at the end of the year** | | **42,296** | 63,754 |
| | | | |
| **Non–cash transactions** | | | |
| Change in financial assets at fair value through OCI ("FVOCI") | | **61** | 395 |
| Increase in share capital by Issuance of bonus shares | | **200,000** | - |
| Transferring the statutory reserve to retained earnings | | **241,715** | - |
| Additions to right of use assets | | **39,060** | 15,368 |
| Additions to lease liabilities | | **39,060** | 14,766 |

The accompanying Notes from (1) to (35) form an integral part of these consolidated financial statements

| Abdulaziz Abdulkareem Alkhuraiji | Azzam Saud Al-Mudaihim | Mohamed Shaaban |
|---|---|---|
| Vice Chairman of the Board | Chief Executive Officer | Chief Financial Officer |

## 1- ORGANIZATION ACTIVITIES

A- Saudi Ceramic Company ("Company") is a Saudi joint stock company established by Royal Decree No. (M/16) on Rabi Thani 25, 1397AH (corresponding to April 14, 1977), registered in the Kingdom of Saudi Arabia under the Commercial Register No. 1010014590 issued in Riyadh in Safar 15, 1398 AH (corresponding to January 24, 1978).

The Company is engaged in the production and sale of ceramic products, water heaters and related components. The Company is also involved in the import of related machinery, equipment and other accessories.

B- The Consolidated financial statements for the year ended 31 December 2024, includes the activities of the parent company and the following subsidiaries (the Company and its subsidiaries hereinafter referred to as the "Group").

| | | Ownership percentage as at | |
|---|---|---|---|
| **Subsidiary company** | **Main operation** | **31 December 2024** | 31 December 2023 |
| Ceramics pipes company * | Import and export, wholesale and retail trading of clay pipes | **77.89%** | 73.89% |
| Arzan Company ** | Operation and maintenance | **100%** | 100% |
| Ceramics Investment Company *** | Marketing services, wholesale and retail trading | **98.69%** | 98.69% |

* On July 4, 2024, the Saudi Ceramic Company acquired an additional 4% equity of Ceramic Pipes Company based on waiver agreement with shareholder Khaled Saleh Abdulaziz Al Rajhi, resulting in the increase in Group's ownership percentage to 77.89%.

** Arzan Company and Ceramics Investment Company did not start commercial operations from date of their establishment until 31 December 2024.

*** The ownership percentage of the Saudi Ceramic Company is represented in the Ceramic Investment Company at "98.89%", and the ownership percentage consists of 95% direct and 3.89% indirect shareholding, through the Ceramic Pipes Company.

C- The consolidated financial statements represent the assets, liabilities and operations' results for the main and sub-commercial registration, also including the assets and liabilities and operations' results for the subsidiaries, Ceramic Pipes Company (a closed joint stock company), Arzan Company (a limited liability company), Ceramic Investment Company (a limited liability company), (the "Group").

D- The Company's headquarter is located at the following address:
Saudi Ceramic Company
Riyadh – Al-Olayya District – King Fahad Road
P.O 3893 - Zip Code 11481
Kingdom of Saudi Arabia

## 2 - BASIS OF PREPARATION

### 2.1 Statement of compliance

These consolidated financial statements are prepared in accordance with International Financial Reporting Standards ("IFRS") as endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by Saudi Organization for Chartered and Professional Accountants ("SOCPA).

### 2.2 Basis of measurement

These consolidated financial statements have been prepared on the historical cost convention except where IFRS require other measurement basis as disclosed in the material accounting policies in Note 4 of the consolidated financial statements.

The preparation of these consolidated financial statements in conformity with IFRS required management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts in the consolidated financial statements. These critical accounting judgements and key sources of estimations are disclosed in Note 4.

### 2.3 Functional and presentation currency

These Consolidated Financial Statements are presented in Saudi Riyal (SAR), which is the Group's functional and presentation currency. All amounts have been rounded to the nearest thousand, unless otherwise indicated.

### 2.4 Basis of consolidation

These consolidated financial statements incorporate the financial statement of the" Group" as detailed in Note 1. The Group's financial statements consolidate those of the Parent Company and all its subsidiaries at each reporting date. All subsidiaries' fiscal year-end is 31 December.

The financial statements of the subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

The Group controls an investee when it has:

a. Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee);
b. Exposure, or rights, to variable returns on the investor from its involvement with the investee; and
c. The ability to use its power over the investee to affect its returns.

The subsidiaries' operations results are included in consolidated profit or loss and other comprehensive income from the date of owning them, which is the date on which the control commences.
All transactions and balances between Group companies are eliminated on consolidation, including unrealized gains and losses on transactions between Group companies. Where unrealized losses on intra-Group asset sales are reversed on consolidation, the underlying asset is also tested for impairment from a Group perspective. Amounts reported in the financial statements of subsidiaries have been adjusted where necessary to ensure consistency with the accounting policies adopted by the Group.

Profit or loss and other comprehensive income of subsidiaries acquired or disposed of during the year are recognized from the effective date of acquisition, or up to the effective date of disposal, as applicable.

The Group attributes total comprehensive income or loss of subsidiaries between the owners of the parent and the non-controlling interests based on their respective ownership interests.

## 2 - BASIS OF PREPARATION (Continued)

### 2.5 New standards and amendments to standards and interpretations

The following new amendments to standards, enlisted below, are effective from 1 January 2024 but they do not have a material effect on the Group's financial statements.

| Amendments to standard | Description | Effective from the accounting period beginning on or after | Summary of amendment |
|---|---|---|---|
| IAS 1 | Classification of liabilities as current or non-current | January 1, 2024 | The amendment has clarified<br>▪ what is meant by a right to defer settlement,<br>▪ that a right to defer must exist at the end of the reporting period,<br>▪ that classification is unaffected by the likelihood that an entity will exercise its deferral right, and<br>▪ that only if an embedded derivative in a convertible liability is itself an equity instrument the terms of liability would not impact its classification. |
| IFRS 16 | Leases on sale and leaseback | January 1, 2024 | These amendments include requirements for sale and leaseback transactions in IFRS 16 to explain how an entity accounts for a sale and leaseback after the date of the transaction. Sale and leaseback transactions where some or all the lease payments are variable lease payments that do not depend on an index or rate are most likely to be impacted. |
| IAS 7 and IFRS 7 | Supplier finance arrangements | January 1, 2024 | These amendments require to add disclosure requirements to enhance transparency of supplier finance arrangements, and 'signposts' within existing disclosure requirements, that ask entities to provide qualitative and quantitative information about supplier finance arrangements. |

## 2 - BASIS OF PREPARATION (Continued)

### 2.5 New standards and amendments to standards and interpretations (Continued)

The Group has not applied the following amendments to IFRS that have been issued but are not yet effective:

| Amendments to standard | Description | Effective from | Summary of amendment |
|---|---|---|---|
| IAS 21 | Lack of Exchangeability | January 1, 2025 | The amendments contain guidance to specify when a currency is exchangeable and how to determine the exchange rate when it is not.<br>The amendments introduce new disclosures to help financial statement users assess the impact of using an estimated exchange rate. |
| IFRS 9 and IFRS 7 | Classification and Measurement of Financial Instruments | January 1, 2026 | These amendments clarify financial assets, and financial liabilities are recognized and derecognized at settlement date except for regular way purchases or sales of financial assets and financial liabilities meeting conditions for new exception. The new exception permits companies to elect to derecognize certain financial liabilities settled via electronic payment systems earlier than the settlement date.<br>They also provide guidelines to assess contractual cash flow characteristics of financial assets, which apply to all contingent cash flows, including those arising from environmental, social, and governance (ESG)-linked features.<br>Additionally, these amendments introduce new disclosure requirements and update others. |
| IFRS 18 | Presentation and Disclosure in Financial Statements | January 1, 2027 | IFRS 18 replaces IAS 1, which sets out presentation and base disclosure requirements for financial statements. The changes, which mostly affect the income statement, include the requirement to classify income and expenses into three new categories – operating, investing and financing – and present subtotals for operating profit or loss and profit or loss before financing and income taxes.<br>Further, operating expenses are presented directly on the face of the income statement – classified either by nature (e.g. employee compensation), by function (e.g. cost of sales) or using a mixed presentation. Expenses presented by function require more detailed disclosures about their nature.<br>IFRS 18 also provides enhanced guidance for aggregation and disaggregation of information in financial statements, introduces new disclosure requirements for management-defined performance measures (MPMs)* and eliminates classification options for interest and dividends in the statement of cash flows. |
| IFRS 19 | Subsidiaries without Public Accountability | January 1, 2027 | IFRS 19 permits an eligible subsidiary to provide reduced disclosures when applying IFRS Accounting Standards in its financial statements.<br>A subsidiary is eligible for the reduced disclosures if it does not have public accountability and its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS Accounting Standards. |

Management anticipates that these amendments will be adopted in the Group's financial statements as and when it is applicable, and adoption of this amendments may have no material impact on the financial statements of the Group in the period of initial application.

## 3 - MATERIAL ACCOUNTING ESTIMATES AND ASSUMPTIONS

The preparation of these Consolidated Financial Statements, in conformity with IFRS as endorsed in the Saudi Arabia, requires the use of judgements, estimates and assumptions. Such estimates and assumptions may affect the balances reported for certain assets and liabilities as well as the disclosure of certain contingent assets and liabilities as at the Consolidated Statement of Financial Position date.

Any estimates or assumptions affecting assets and liabilities may also affect the reported revenues and expenses for the same reporting period. Although these estimates are based on management's best knowledge of current events and actions, actual results ultimately may differ from those estimates.

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Areas involving higher degree of judgment or complexity or areas where assumptions and estimates are significant to the consolidated financial statements are as follows:

**Employees' post-employment benefits**

The Group's obligation in respect of defined benefit plan is calculated by estimating the value of future benefits that employees have earned in the current and prior periods and discounting that amount to arrive at present value. The calculation is performed annually by an independent actuary using the projected unit credit method. Significant assumptions used to carry out the actuarial valuation have been disclosed in Note 16 to these consolidated financial statements.

**Impairment of inventories**

The management estimates the impairment in the inventories to reach the net realizable value if its cost is not recoverable or it becomes damaged as a whole or a part of it, or if its selling price is less than its cost or if there are any other factors that may lead to a decrease in its realizable value for less than its cost. Estimates of net realizable value of inventories are based on the most reliable evidence at the time the estimates are made. These estimates take into consideration fluctuations of prices or costs directly related to events occurring subsequent to the financial statements date to the extent that such events confirm conditions existing as at the end of reporting period.

For raw materials and spare parts, the Group applies the replacement cost method or perform specific assessment if replacement cost is not appropriate, to assess their valuation. If the replacement cost of raw materials is lower than the recorded cost, an adjustment is made to reflect the lower replacement cost. Similarly, spare parts that are damaged or obsolete are reviewed periodically, and provisions are recorded if their replacement cost is lower than their carrying value.

**Impairment of non-financial assets**

At each reporting date, the Group management reviews the carrying amounts of its non-financial assets (other than inventories) to determine whether there is any indication of impairment. When such an indicator exists, the recoverable amount of the asset is estimated.

For the purpose of assessing the impairment, assets are Grouped at the lowest levels for which there are cash flows resulting from continuous use that are largely independent from other assets and cash-generating units.

The recoverable amount of an asset or a cash-generating unit is the higher of its value in use or fair value less costs to sell. The value in use is based on the future cash flows deducted from its current value using a discount rate reflects the current market assessments of current value of money and risks related to an asset or cash-generating unit.

Impairment loss is recognized when the carrying amount of an asset or cash-generating unit exceeds its recoverable amount.

The Impairment losses are recognized in the Consolidated statement of profit or loss and other comprehensive income, and the impairment loss is reversed only to the extent that the carrying amount of the asset does not exceed its carrying amount, net of depreciation or amortization, which would have been determined if the impairment losses have not been recognized.

## 3 - MATERIAL ACCOUNTING ESTIMATES AND ASSUMPTIONS (Continued)

**Fair value measurement**

Fair value is the selling price received to sell an asset or paid to transfer liability within an orderly transaction between market participants on the measurement date or in the absence of that market, the best market available on that date. The fair value of a liability reflects its non-performance risk.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. The fair values are categorized into hierarchical levels based on the data used in the valuation techniques as follows:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that may be obtained on the measurement date.
- Level 2: Inputs other than quoted prices that are not included in the first level and that can be observed for assets and liabilities directly (such as prices) or indirectly (that are derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or liability falls into different levels of the fair value hierarchy. Then the measurement is categorized in its entirety as the lowest input level that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period in which the change occurred. As at 31 December 2024 and 31 December 2023, there are no transfers between levels.

The carrying amounts and fair value of financial assets and financial liabilities, including their levels in the fair value hierarchy have been disclosed.

**Useful lives, residual values, or depreciation method of property, plant and equipment**

The Group's management determines the estimated useful lives for property, plant and equipment. This estimate is determined after considering the expected usage of the asset or physical wear and tear.

Management reviews the useful lives, residual values, or depreciation method for property, plant and equipment annually. Future depreciation expense would be adjusted where management believes that useful lives, residual values, or depreciation method differ from those used in previous periods.

**Change in Accounting Estimate – Depreciation of Leasehold Improvements**

During the year ended 31 December 2024, the Group reassessed the depreciation for leasehold improvements. Previously, leasehold improvements were depreciated over the lower of their useful life or the lease term. Effective 1 January 2024, the Group has changed this estimate to depreciate leasehold improvements over the lower of their useful life or the expected lease term.

This change in estimate was made to provide a more accurate reflection of the period over which the economic benefits of leasehold improvements are expected to be realized, considering factors such as renewal options and lease agreements. The change has been applied prospectively in accordance with IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors.

The impact of this change on the consolidated financial statements for the year ended 31 December 2024 is as follows:

- (Decrease) in depreciation expense: SAR 2.3million
- Increase in net profit: SAR 2.3million

Future periods may be impacted depending on changes in lease terms and renewals. This change does not affect prior-period financial statements and does not require restatement.

**Going concern**

The management of the Group has assessed the Group's ability to continue as a going concern and concluded that the Group has sufficient resources to continue its business in the foreseeable future. In addition, the management does not have any material doubts about the Group's ability to continue as a going concern. Accordingly, the financial statements have been prepared on a going concern basis.

## 4 - MATERIAL ACCOUNTING POLICIES

The Group has consistently applied the following accounting policies to all periods presented in these consolidated financial statements, except if mentioned otherwise**.**

### Cash and cash equivalents

Cash and cash equivalents include cash in hand, cash at banks and demand deposits with banks, and other short-term, highly liquid investments whose maturity dates are within three months or less of the original investment date and available to the Group without restrictions, and the cash flows statement is prepared according to the indirect method.

### Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any. Cost includes any costs directly attributable to bringing the assets to the location and condition necessary for it to be capable of operating in the manner intended by the Group's management.

Depreciation is recognized to write off the cost of assets less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation methods are reviewed at the end of annual reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Leasehold improvements are depreciated on a straight-line basis over the shorter of the useful life of the improvements, or the expected lease term.

Expenditure on repair and maintenance are charged to the consolidated statement of profit or loss and other comprehensive income as incurred with the exception of costs that extend the useful life of the asset or increase its value, which are then capitalized.

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of day-to-day servicing property, plant and equipment are recognized in the consolidated statement of profit or loss and other comprehensive income.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in profit or loss.

Depreciation of property, plant and equipment is calculated on a straight-line basis over the estimated useful lives of assets.

The Group applies the following useful lives for depreciation to its property, plant and equipment:

| Description | Useful life (years) | Description | Useful life (years) |
|---|---|---|---|
| Buildings | 10-33.33 | Furniture and fixtures | 4-10 |
| Machinery and equipment | 20 | Leasehold improvements | useful life or expected lease term which is lower |
| Motor Vehicles | 4 | Tools | 10 |

The useful life and depreciation methods are reviewed yearly to ensure that the depreciation method and useful life are in line with the expected economic benefits from property, plant and equipment.

Depreciation methods, useful lives and residual values of property, plant and equipment are reviewed by the Group at each financial year-end. During 2024, that Group reviewed the useful lives and residual value of the main items of property, plant, and equipment using internal technical team. Based on the results of the review, the maximum estimated useful life of the leasehold improvement category was adjusted to 10 years for some locations instead of 4 years.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

**Capital work in progress (CWIP)**
Capital work in progress is stated at cost less any impairment losses. All expenditure incurred during installation and construction period, in connection with specific assets, are carried to CWIP. The cost of CWIP is transferred to the appropriate category of property, plant and equipment when it is ready for use. The cost of CWIP comprises purchase price and costs directly attributable to bringing the CWIP for its intended use.

**Assets held for sale**
The Group classifies non-current assets and disposal Groups as held for sale if their carrying amounts will be recovered principally through a sale transaction rather than through continuing use. Non-current assets and disposal Groups classified as held for sale are measured at the lower cost of their carrying amount and fair value less costs to sell. Costs to sell are the incremental costs directly attributable to the disposal of an asset (disposal Group), excluding finance costs.
The criteria for assets held for sale classification are regarded as met only when the sale is highly probable, and the asset or disposal Group is available for immediate sale in its present condition. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the plan to sell the assets, and the sale is expected to be completed within twelve months from the date of the classification.
Property, plant and equipment and intangible assets are not depreciated or amortized once classified as held for sale. Assets and liabilities classified as held for sale are presented separately as current items in the statement of financial position.

**Right-of-use assets and lease liabilities**

The Group recognizes new assets and liabilities for its leases of various types of contracts including warehouse and depot facilities, accommodation/office rental premises, showrooms etc. Each lease payment is allocated between the liability and finance cost.

The finance cost is charged to the Consolidated statement of profit or loss and other comprehensive income over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Payments associated with short-term leases and leases of low-value assets are recognized on a straight-line basis as an expense in the Consolidated statement of profit or loss and other comprehensive income. Short-term leases are leases with a lease term of 12 months or less.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes. In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option or not exercise a termination option. Extension options are only included in the lease term if the lease is reasonably certain to be extended. In determining the lease term, the management generally considers certain factors including historical lease durations, significant leasehold improvements over the term of the lease that have significant economic benefit to the Group’s operation, the importance of the leased asset to the Group’s operation and whether alternatives are available for the Group and business disruption required to replace the leased asset.

**Trade receivables**

Trade receivables are amounts due from customers for products sold in the ordinary course of business. Trade receivables are stated net off provision for expected credit loss and provision for customers’ incentive.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

### Intangible assets

Intangible assets are measured at cost, less accumulated amortization and accumulated impairment losses, if any. Intangible assets are amortized on a straight-line basis over the estimated useful lives of 15 years. Subsequent expenditure is capitalized only if it is probable that the future economic benefits are associated with the expenditure will flow to the Group and amount can be measured reliably. Intangible assets' residual values, useful lives and impairment indicators are reviewed at the end of each financial year and adjusted prospectively, if considered necessary. An intangible asset is derecognized on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from de-recognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset are recognized in consolidated statement of profit or loss and other comprehensive income when the asset is derecognized.

### Investments in associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

The results and assets and liabilities of associates are incorporated in these Consolidated Financial Statements using the equity method of accounting. Under the equity method, an investment in an associate is initially recognized in the Consolidated Statement of Financial Position at cost and adjusted thereafter to recognize the Group’s share of the profit or loss and other comprehensive income of the associate.

### Inventories

Inventories are recorded at cost or net realizable value, whichever is the lower. Cost is determined by using the weighted average method. The cost of inventories comprises all costs of purchases, costs of conversion and other costs incurred in bringing the Inventories to their present location and conditions. In the case of finished production and in-progress Inventories, cost includes the appropriate share of production overheads based on normal operating capacity.

The net realizable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

### Borrowings

Borrowings are initially recognized at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortized cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognized in Consolidated statement of profit or loss and other comprehensive income over the period of the borrowings using the effective interest method.

Borrowings are removed from the Consolidated Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The borrowings are classified as current liability if there is no right to defer settlement for at least 12 months from the reporting period.

### Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time, that is more than one year, to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use. No borrowing costs are capitalized during idle periods.

All other borrowing costs are recognized in the Consolidated statement of profit or loss and other comprehensive income in the period in which they are incurred.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

**Trade and other payables**

Liabilities are recognized for amounts due and to be paid in the future for goods or services received, whether billed by the supplier or not.

- **Trade payables** represent amounts due to suppliers for goods and services received. They are recognized at invoice amount and subsequently measured at amortized cost. Foreign currency payables are translated at the reporting date exchange rate.
- **Accruals** include expenses incurred but not yet invoiced, such as purchases, employee benefits, utilities, rent, and other costs, measured at the best estimate of the payable amount.

**Employees' post-employment benefits**
**Defined employees' benefits plan**

According to the Saudi Labor Law in the Kingdom of Saudi Arabia, the Group is required to pay end-of-service benefits (a defined benefit plan), which are calculated based on the half of the last month's salary of each year of the first five years of service, including the fractions of the year plus the full last month's salary for each year of the next or remaining service includes fractions of the year. End-of-service benefit plan is unfunded.

**Valuation technique and key assumptions for the actuarial study**

Under requirements of IAS 19 "Employees' benefits", end-of-service benefits obligations are calculated using the actuarial valuation and using the projected unit credit method at the end of each fiscal year. Gains or losses arising from the actuarial revaluation are recorded in the statement of comprehensive income for the period in which the revaluation occurred. The recognized remeasurement in OCI is immediately included under the retained earnings and is not included under profit or loss. Past service cost is calculated in profit or loss during the plan amendment period. The interest is calculated using the discount rate at the beginning of the period, on the employees' defined benefits obligations. The current service cost of the defined benefit plan is recognized in the Consolidated statement of profit or loss and other comprehensive income under employee's benefits expense, to reflect the increase in the liability resulting from employee services for the current year and cases of change, curtail or settlement of benefits. The cost of services for previous years is included immediately in the Consolidated statement of profit or loss and other comprehensive income.

Actuarial gains and losses resulting from adjustments and changes in actuarial assumptions are charged and included in the equity in the statement of other comprehensive income in the period in which they arise.

Defined benefit costs are classified as follows:
- Service cost (including current service costs and past service costs, in addition to gains and losses resulting from employees' promotions and reimbursements);
- Interest cost, and
- Re-measurement.

**Short-term employees' benefits**

Liability is recognized and measured for benefits related to wages, salaries, annual leave and sick leave in the period in which the service is provided on the undiscounted amounts of the benefits expected to be paid in exchange for those services.

### Foreign currency transactions

Foreign currency transactions are initially recognized by the Group's entities at their respective functional currencies' spot rate at transaction date. At the reporting date, monetary assets and liabilities denominated in foreign currencies are converted into Saudi Riyals at the exchange rates ruling on such date. Any gains and losses arising from repayments or foreign currency exchange are included in the Consolidated statement of profit or loss and other comprehensive income.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

**Zakat provision**
Zakat provision is calculated in accordance with the Zakat, Tax and Customs Authority ("ZATCA") provisions and rules in the Kingdom of Saudi Arabia. Zakat is calculated for the period in an estimate, and the provision for Zakat is charged in a separate item in the Consolidated statement of profit or loss and other comprehensive income. Additional Zakat liability, if any, related to prior years' assessments are accounted for in the future period up to the year in which the final assessments are settled.

**Provision for Zakat and Taxes**
In making estimates for the zakat and tax payable by the Group, management considers applicable laws and past decisions and judgments of the Zakat, Tax and Customs Authority ("ZATCA") in Kingdom of Saudi Arabia.

**Provisions**
Provisions are recognized when the Group has an obligation (legal or constructive) at the statement of financial position date arising from a past event, and the costs to settle the obligation are both probable and can be measured reliably. Provisions are determined by discounting the expected future cash flows at a rate that reflects current market assessments of the time value of money and the risks specific to that liability.
Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period.
The discount rate used to determine the present value is the pre-zakat rate that reflects current market assessments of the time value of money and the risks specific to liability. The increase in the provision due to the passage of time is recognized as an interest expense.

**Contingent Liability**
A contingent liability is disclosed when the Group has a possible obligation as a result of past events, whose existence will be confirmed only by the occurrence or non-occurrence, of one or more uncertain future events not wholly within the control of the Group; or the Group has a present legal or constructive obligation that arises from past events, but it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability.

**Earnings per share**
Basic earnings per share is calculated from net profit by dividing the net profit for the year by the weighted average number of shares outstanding at the end of the year.

**Segmental reporting**
An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including those arising from transactions with other components of the Group. The performance of each operating segment is regularly reviewed by the Chief Operating Decision Maker (CODM) for resource allocation and performance evaluation purposes, based on internal management reports. The segment information reported here includes both items directly attributable to a segment and items allocated on a consistent, systematic basis. Operating segments are aggregated for external reporting if they share similar economic characteristics, such as the nature of products and uniformity in production processes.

**Treasury Shares**
Own equity instruments that are required (treasury shares), for discharging obligations under the Employee Share Program, are recognized at cost and presented as a deduction from equity and are adjusted for any transaction costs, dividends and gains or losses on sale of such shares. No gain or loss is recognized in the consolidated statement of profit or loss and other comprehensive income and other comprehensive income on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in retained earnings.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

### Revenue recognition

The Group recognizes revenue when a customer obtains control of the goods, typically at the point of delivery and acknowledgment, in accordance with the five-step model under IFRS 15. This includes:

a) Identification of a contract with a customer, i.e., agreements with the Group that creates enforceable rights and obligations.
b) Identification of the performance obligations in the contract, i.e., promises in such contracts to transfer products or services.
c) Determination of the transaction price which is the amount of consideration the Group expects to be entitled to in exchange for fulfilling its performance obligations (excluding any amounts collected on behalf of third parties).
d) Allocation of the transaction price to each identified performance obligation based on the relative stand-alone estimated selling price of the products or services provided to the customer.
e) Recognition of revenue as each performance obligation is satisfied, i.e., when the promised products or services are transferred to the customer and the control is obtained. This may occur over time or at a point in time.

Revenue shall be measured at the fair value of the consideration received or receivables, taking into account contractually defined payment terms and excluding taxes or duty. The specific recognition criteria described above must also be meet before revenue is recognized. Where there are no specific criteria, the above policy will apply and revenue is recognized as earned and accrued.

Revenue is recognized at the point in time when the performance obligation is satisfied, typically upon delivery or shipment of the products in accordance with contractual terms, at which point control is transferred to the customer and the Group no longer retains effective management involvement.

The Group offers trade discounts to retail and wholesale customers, which are recognized in accordance with IFRS 15.

For retail customers, trade discounts are applied at the point of sale and deducted upfront from the transaction price. These discounts are not contingent on future events and are directly reflected in the invoice, reducing the revenue recognized at the time of sale.

For wholesale customers, discounts are announced in advance for specific products and for a defined period. These discounts are not reflected in the invoice at the time of sale but are recorded as an accrual based on actual sale made during the period. At the end of each month, the accrued discount amount is recognized as a reduction in revenue and adjusted through credit notes issued against the customers' trade receivable balances.

Goods sold through showrooms are primarily on a sale or return basis. An allowance for expected sales returns is estimated based on historical trends and the allowed return period. The estimated sales returns are deducted from revenue, with a corresponding refund liability recognized to reflect the obligation to refund customers.

Sales to wholesale customers frequently include target-based sales incentives, which are linked to bulk purchases over a period of up to 12 months, as specified in both the contract and the entity's general policy. Revenue is initially recognized at the transaction price based on actual sales, without considering incentives. A provision for these incentives is recorded on a monthly basis for eligible customers, reflecting the estimated reduction in revenue due to expected incentive payouts upon target achievement. This provision is subsequently adjusted in the following period through the issuance of a credit note against the customer's outstanding trade receivable balance. Any unsettled incentive provision at year-end is presented net of sales and trade receivables, ensuring that the recognized revenue reflects the final transaction price in accordance with IFRS 15. Credit notes issued in the subsequent period finalize the settlement of these incentive provisions.

### Expenses

All expenses are recognized on an accrual basis, and operating costs are recognized on a historical cost basis.
Production costs and direct manufacturing expenses are classified as cost of sales. This includes raw materials, direct labor and other related indirect costs. Other costs such as selling costs are recorded as selling and marketing expenses, while all other remaining costs are shown as general and administrative expenses.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

### Financial instruments

### Financial assets

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through Other Comprehensive Income ("OCI") or through profit or loss), and
- those to be measured at amortized cost.

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income (FVOCI). For Investments designated as FVOCI and for which management has an intention to sell such investments within a period of 12 months from the financial year end, are classified under current assets. The Group initially recognizes financial assets on the trade date at which the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in the transferred financial asset that is created or retained by the Group is recognized as a separate asset or liability.

Financial assets and liabilities are offset, and the net amount is presented in the Consolidated Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realize the asset and settle the liability simultaneously.

The Group has the following financial assets;

- **Financial assets at amortised cost**

Financial assets held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest ("SPPI") are measured at amortized cost. A gain or loss on a debt investment subsequently measured at amortized cost and not part of a hedging relationship is recognized in the Consolidated statement of profit or loss and other comprehensive income when the asset is derecognized or impaired. Interest income from these financial assets is included in finance income using the effective interest rate method.

- **Financial Assets at FVOCI**

The Group generally elects to recognize changes in the fair value of investments in equity in OCI. These changes are accumulated within the 'other reserve' classified under equity. The Group may transfer this amount from other reserve to retained earnings when the relevant shares are derecognized.

Dividends from such investments continue to be recognized in the Consolidated statement of profit or loss and other comprehensive income as other income when the Group's right to receive payments is established. Accumulated gains and losses on these financial assets are never recycled to the Consolidated statement of profit or loss and other comprehensive income.

### Financial Liabilities

Financial liabilities are recognized initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognizes financial liability when its contractual obligations are discharged, cancelled or expired. Financial assets and liabilities are offset, and the net amount is presented in the Consolidated Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle on a net basis or to realize the assets and settle the liability simultaneously.

## 4 - MATERIAL ACCOUNTING POLICIES (Continued)

### Financial Instruments (Continued)

### Financial Liabilities (Continued)

The Group recognizes financial liabilities initially at fair value plus any directly attributable transaction costs. Subsequent to initial recognition these financial liabilities are measured at amortized cost using the effective interest method.

Financial liabilities of the Group comprise of bank borrowings and trade and other payables.

### Impairment
### Financial Assets

The Group assesses on a forward-looking basis the Expected Credit Losses ("ECL") associated with its debt instruments as part of its financial assets, carried at amortised cost and FVOCI.

For accounts receivables, the Group applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables. To measure the expected credit losses, receivables have been Grouped based on shared credit risk characteristics and the days past due. Expected loss rates were derived from historical information of the Group and are adjusted to reflect the expected future outcome which also incorporates forward-looking information for macroeconomic factors such as inflation and gross domestic product growth rate.

Other financial assets such as employees' receivables, bank balances have low credit risk and the impact of applying ECL is immaterial.

### Impairment of Non-Financial Assets

Non-financial assets are reviewed at each reporting date to identify circumstances indicating occurrence of impairment loss or reversal of impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss or reversal of impairment loss (if any).

When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the CGU to which the asset belongs. Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use.

In determining fair value less costs to sell, the most recent market transactions are taken into consideration. If no such transactions can be identified, an appropriate valuation model is used.

Value in use is based on a discounted cash flow model, whereby the expected future cash flows are discounted using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised immediately in the Consolidated statement of profit or loss and other comprehensive income.

## 4- MATERIAL ACCOUNTING POLICIES (Continued)

**Impairment of Non-Financial Assets (Continued)**

Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units. Any remaining impairment loss is then allocated to reduce the carrying amounts of other assets in the unit on a pro-rata basis. At each reporting date, the Group assesses whether there is any indication that a previously recognized impairment loss (excluding goodwill impairment) may no longer exist or may have decreased If such evidence exists, the Group estimates the recoverable amount of the asset or cash-generating unit. An impairment loss recognized previously is reversed only if there has been a change in the assumptions used to determine the recoverable amount and only if the new recoverable amount is higher than the current carrying amount. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount the asset would have had, net of depreciation, had no impairment loss been recognized in prior years. Such a reversal is recognized in profit or loss, except for revalued assets, where it is recognized in other comprehensive income.

Any impaired non-financial assets, other than goodwill, are examined for possible reversal of impairment at the end of each financial reporting period.

## 5 - Property, plant and equipment, net

The movement in property, plant, and equipment during the year ended 31 December 2024 is as follows:

| As at 31 December 2024 | Land | Buildings | Machinery and equipment | Furniture and fixtures | Motor vehicles | Leasehold improvements | Assets under construction | Tools | Total |
|---|---|---|---|---|---|---|---|---|---|
| **Cost** | | | | | | | | | |
| Balance at the beginning of the year | **312,375** | **1,007,092** | **2,569,267** | **112,471** | **86,006** | **45,432** | **218,102** | **66,280** | **4,417,025** |
| Additions | **-** | **-** | **15,074** | **7,160** | **5,832** | **-** | **166,531** | **8,437** | **203,034** |
| Transfers during the year | **-** | **10,034** | **9,935** | **3,689** | **-** | **7,123** | **(30,781)** | **-** | **-** |
| Disposals | **(1,690)** | **(35)** | **(19,187)** | **(1,751)** | **(810)** | **(4,920)** | **-** | **-** | **(28,393)** |
| Reclassification | **-** | **-** | **121** | **1,315** | **463** | | **(1,963)** | **64** | **-** |
| **Balance, end of the year** | **310,685** | **1,017,091** | **2,575,210** | **122,884** | **91,491** | **47,635** | **351,889** | **74,781** | **4,591,666** |
| **Accumulated Depreciation and impairment** | | | | | | | | | |
| Balance at the beginning of the year | **-** | **720,995** | **1,947,358** | **93,429** | **72,151** | **35,591** | **-** | **34,103** | **2,903,627** |
| Charges for the year | **-** | **31,515** | **65,327** | **6,898** | **5,352** | **2,565** | **-** | **5,485** | **117,142** |
| Disposals | **-** | **(35)** | **(19,187)** | **(1,731)** | **(658)** | **(4,920)** | **-** | **-** | **(26,531)** |
| Impairment loss (Note 5E, 5F) | **-** | **23,556** | **27,514** | **-** | **-** | **-** | **-** | **-** | **51,070** |
| **Reclassification** | **-** | **1,303** | **(1,381)** | **712** | **669** | **(1,303)** | **-** | **-** | **-** |
| **Balance, ending of the year** | **-** | **777,334** | **2,019,631** | **99,308** | **77,514** | **31,933** | **-** | **39,588** | **3,045,308** |
| **Net book value** | | | | | | | | | |
| **As at 31 December 2024** | **310,685** | **239,757** | **555,579** | **23,576** | **13,977** | **15,702** | **351,889** | **35,193** | **1,546,358** |

## 5 - Property, plant and equipment, net (Continued)

| As at 31 December 2023 | Land | Buildings | Machinery and equipment | Furniture and fixtures | Motor vehicles | Leasehold improvements | Assets under construction | Tools | Total |
|---|---|---|---|---|---|---|---|---|---|
| **Cost** | | | | | | | | | |
| Balance, beginning of the year | 326,663 | 1,027,499 | 2,500,959 | 104,331 | 95,112 | 44,222 | 93,468 | 51,787 | 4,244,041 |
| Additions | - | 518 | 10,444 | 1,894 | 5,986 | 74 | 229,954 | 14,493 | 263,363 |
| Transfers during the year | - | 17,637 | 76,606 | 8,297 | - | 2,780 | (105,320) | - | - |
| Reclassification to Asset held for sale | (8,955) | - | - | - | - | - | - | - | (8,955) |
| Disposals | (5,333) | (38,562) | (18,742) | (2,051) | (15,092) | (1,644) | - | - | (81,424) |
| **Balance, end of the year** | 312,375 | 1,007,092 | 2,569,267 | 112,471 | 86,006 | 45,432 | 218,102 | 66,280 | 4,417,025 |
| **Accumulated Depreciation and impairment** | | | | | | | | | |
| Balance, beginning of the year | - | 678,975 | 1,723,430 | 86,830 | 82,745 | 31,552 | - | 29,464 | 2,632,996 |
| Charges for the year | - | 32,269 | 69,530 | 6,458 | 4,428 | 5,683 | - | 4,586 | 122,954 |
| Disposals | - | (29,948) | (18,715) | (2,028) | (15,092) | (1,644) | - | - | (67,427) |
| Impairment loss (Note 5E) | - | 9,480 | 68,508 | 166 | 70 | - | - | - | 78,224 |
| Impairment loss due to fire (Note 35) | - | 30,219 | 104,605 | 2,003 | - | - | - | 53 | 136,880 |
| **Balance, ending of the year** | - | 720,995 | 1,947,358 | 93,429 | 72,151 | 35,591 | - | 34,103 | 2,903,627 |
| **Net book value** | | | | | | | | | |
| **As at 31 December 2023** | **312,375** | **286,097** | **621,909** | **19,042** | **13,855** | **9,841** | **218,102** | **32,177** | **1,513,398** |

**A-** Building, Machinery and equipment with carrying amount of SAR 379 million (31 December 2023: SAR 908 million) were pledged as security against the loans from Saudi Industrial Development Fund (SIDF), refer Note (16).

**B-** Assets under construction mainly include the cost incurred on establishing a new porcelain tile factory and improvement projects, raising the efficiency of production lines projects, and civil works

**C-** Borrowing costs amounting to SAR 9.1 million have been capitalized to assets under construction (December 2023: SAR 8.5 million).

## 5 - Property, plant and equipment, net (Continued)

**D-** Allocation of property, plant and equipment, net depreciation for the year ended 31 December as follows:

| | Note | 2024 | 2023 |
|---|---|---|---|
| Cost of revenue | 21 | **100,767** | 104,550 |
| Selling and marketing expenses | 22 | **13,514** | 15,671 |
| General and administrative expenses | 23 | **2,861** | 2,733 |
| | | **117,142** | 122,954 |

**E- Impairment loss for a subsidiary**

The recoverable amount of the non-current assets of one of the Group's subsidiaries, Ceramic Pipes Company (CPC) of SAR 88.1 million as at 31 December 2024 has been determined based on value in use considering the management intention to liquidate the business Post 2027, by calculating using cash flow projections from financial budgets prepared by management covering 3-year period from FY25-FY27. The Group classifies this subsidiary as a separate cash generating unit (CGU). The projected cash flows have been updated to reflect the decreased demand for the products. The pre-tax discount rate applied to cash flow projections is 12%. As a result of this analysis, management has recognized an impairment charge of SAR 5.7 million (31 December 2023: SAR 78.2 million) in the current year against non-current assets with a carrying amount of SAR 88.1 million, net of impairment as at 31 December 2024.

**Key assumptions are used in value in use calculations and sensitivity to changes in assumptions.**

The calculation of value in use for the CGU is most sensitive to the following assumptions:

- Gross margins
- Discount rates
- Gross Margins

Negative gross margins (42%) (31 December 2023: 44%) are based on the historical margin of the CGU preceding the beginning of the budget period. The gross margins are kept constant throughout the budget period. Decrease in demand may lead to decline in gross margin which may increase the impairment loss.

**Discount Rates**

Discount rates represent the current market assessment of the risks specific to the CGU, taking into consideration the value of money and individual risks of the underlying assets that have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the CGU and is derived from its weighted average cost of capital (WACC). The WACC takes into account both debt and equity. Any increase in the discount rates may lead to an increase in impairment.

**F- Property, plant and equipment for internal business unit – Red Bricks**

The management has identified that based on the performance KPIs for the Red bricks Factory during 2024, there is evidence available from internal management reporting that indicates that the economic performance of the Red Bricks Factory is, or will be, worse than expected in the future due to its decreased demand in the market and changes in trends which are assumed to be irreversible impairment indicators at least in the foreseeable future. The Group classifies this business unit as a separate cash generating unit (CGU). The projected cash flows have been updated to reflect the decreased demand for the products. However, the cash flow projections from financial budgets prepared by management covering the next 5-years period resulted in negative operating income.

Accordingly, the management's expert evaluate the fair value of non-current assets for this business unit. The fair value represents the price to sale assets or CGU in an ordinary transaction between market participants at the measurement date. The recoverable amount of the non-current assets of the Red bricks Factory of SAR 76 million as at 31 December 2024 has been determined based on its fair value less cost of disposal. As a result of this analysis, management has recognized an impairment charge of SAR 45 million in the current year against non-current assets with a carrying amount of SAR 121 million as at 31 December 2024.

## 6. Right of use assets, net and lease liabilities

A. The movement in right of use assets during the year ended 31 December 2024 is as follows:

| | 2024 | 2023 |
|---|---|---|
| **Cost** | | |
| Balance, beginning of the year | **159,427** | 144,059 |
| Additions during the year | **39,060** | 15,368 |
| Completion | **(70,054)** | - |
| **Balance, end of the year** | **128,433** | 159,427 |
| **Accumulated Depreciation** | | |
| Balance, beginning of the year | **72,981** | 56,527 |
| Charge for the year | **19,539** | 16,454 |
| Completion | **(70,054)** | - |
| **Balance, end of the year** | **22,466** | 72,981 |
| **Net Book Value** | **105,967** | 86,446 |

B. Allocation depreciation for the two years ended 31 December as follows:

| | Note | 2024 | 2023 |
|---|---|---|---|
| Cost of revenue | 21 | **2,724** | 3,102 |
| Selling and marketing expenses | 22 | **16,815** | 13,255 |
| General and administrative expenses | 23 | **-** | 97 |
| | | **19,539** | 16,454 |

**C. Lease liabilities**

| | 2024 | 2023 |
|---|---|---|
| Balance at 1 January | **81,343** | 82,156 |
| Additions to Lease Liabilities | **39,060** | 14,766 |
| Interest expense on lease liabilities (note 24) | **6,167** | 3,665 |
| Lease liabilities paid | **(29,342)** | (19,244) |
| **Balance at 31 December** | **97,228** | 81,343 |

D. The lease liabilities are classified as at December 31 as following:

| | 2024 | 2023 |
|---|---|---|
| Within 1 year | **34,645** | 15,773 |
| **1 year to 5 years** | **33,677** | 56,291 |
| More than 5 years | **28,906** | 9,279 |
| **Total lease liabilities** | **97,228** | 81,343 |
| | | |
| Non-Current Portion | **62,583** | 65,570 |
| Current Portion | **34,645** | 15,773 |

E. The right to use the asset is represented in the Group's lease contracts for showrooms, warehouses and factory-related facilities

F. The Group has followed the policy of charging the financing cost to the consolidated statement of profit or loss and other comprehensive income over the lease period using the effective interest rate.

## 7. Investment in associate

The Group holds nil % as of 31 December 2024, (2023: 2.38%) of the share capital of Natural Gas Distribution Company (NGDC) "a Saudi Joint Stock Company" listed in Saudi Exchange Market and registered in Riyadh, Kingdom of Saudi Arabia. The movement during the year in the investment in the associate is as follows:

| | **2024** | 2023 |
|---|---|---|
| Investment as at 1 January | **1,283** | 9,054 |
| Share of net profit of associate | **-** | 205 |
| Disposal of shares | **(1,283)** | (7,468) |
| Dividends received | **-** | (508) |
| Investment as at 31 December | **-** | 1,283 |

During 2024, the Group sold 117 thousand shares (2023: 0.67 million shares) for a cash consideration of SAR 5.1 million (2023:23.1 million) and achieved gains of SAR 3.8 million (2023:23.1million) which recorded as other income.

## 8. Financial assets at fair value through OCI ("FVOCI")

The Group has designated its equity investments at initial recognition at FVOCI. The fair valuation resulted in unrealized gain of SAR 61,000 during 2024 (2023: SAR 395,000) which is presented under "other comprehensive income" in consolidated statement of profit or loss and other comprehensive income. The following is investment at fair value through other comprehensive income:

| | **Ownership %** | | **Fair Value as at 31 December** | |
|---|---|---|---|---|
| | **2024** | 2023 | **2024** | 2023 |
| **Gulf Real Estate Company** | **1.23%** | 1.23% | **7,877** | 7,816 |

- No dividends were received from this investment during the year ended on 31 December 2024 (2023: Nil).
- The investment is not publicly traded. The fair value is estimated by reference to the market value of its net assets.

## 9. Inventories, net

**A- The inventories as at 31 December consist of the following:**

| | **2024** | 2023 |
|---|---|---|
| Finished goods | **410,318** | 612,431 |
| Raw materials and consumables | **226,410** | 179,899 |
| Spare parts | **97,311** | 99,566 |
| Semi finish goods and work in progress | **63,532** | 74,909 |
| Finished goods purchased for resale | **31,563** | 47,249 |
| | **829,134** | 1,014,054 |
| Less: provision for Inventories – C | **(124,554)** | (85,831) |
| Less: impairment loss for Inventories due to fire - (Note 32) | **-** | (27,964) |
| | **704,580** | 900,259 |

**B- Inventories written off**

Finished goods represent goods manufactured or purchased by the Group and are presented net of inventories written off during the year ended 31 December 2024 amounting to SAR 4.8 million (31 December 2023: SAR 7 million).

During the year the board of directors approved the write off for the damaged Inventories due to prior year fire incident by an amount of SAR 27.96 million against the provision of SAR 27.96 million recorded during 2023.

**C- The movement in the provision for Inventories is as follows:**

| | **2024** | 2023 |
|---|---|---|
| Balance at the beginning of the year | **85,831** | 29,440 |
| Provision for the year (note 21) | **43,548** | 63,434 |
| Write off during the year | **(4,825)** | (7,043) |
| Balance at the ending of the year | **124,554** | 85,831 |

## 10. Trade and other receivables

A- The trade and other receivables consist of the following:

| | **31 December 2024** | 31 December 2023 Restated – Note 33 | 1 January 2023 Restated – Note 33 |
|---|---|---|---|
| Trade receivables | **308,668** | 337,446 | 260,576 |
| Less: provision for expected credit losses | **(21,483)** | (26,145) | (21,818) |
| Less: provision for customers' incentive (C) | **(65,207)** | (67,712) | (35,559) |
| | **221,978** | 243,589 | 203,199 |
| Advance to suppliers | **20,130** | 24,497 | 53,857 |
| Prepaid expenses | **17,463** | 13,633 | 9,702 |
| Employees' receivables | **1,525** | 2,818 | 1,894 |
| Refundable deposits | **383** | 382 | 5,988 |
| Others | **1,695** | 1,946 | 701 |
| | **263,174** | 286,865 | 275,341 |

Trade receivables are classified as financial assets at amortized cost.

## 10. Trade and other receivables (Continued)

B- The movement of the provision for expected credit losses is as follows:

| | **2024** | 2023 |
|---|---|---|
| Balance at the beginning of the year | **26,145** | 21,818 |
| (Reversal)/ charge for the year | **(4,421)** | 5,499 |
| Written off during the year | **(241)** | (1,172) |
| Balance at the end of the year | **21,483** | 26,145 |

Trade receivables are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Group, and a failure to make contractual payments.

Additional information related to credit and market risk exposures is disclosed in Note (30).

C- The movement of the provision for customers' incentive is as follows:

| | **2024** | 2023 |
|---|---|---|
| Balance at the beginning of the year | **67,712** | 35,559 |
| Charge for the year | **89,651** | 101,980 |
| Customers incentives offset during the year | **(92,156)** | (69,827) |
| Balance, at the end of the year | **65,207** | 67,712 |

## 11. Cash and cash equivalents

| | **31 December 2024** | 31 December 2023 Restated – Note 33 | 1 January 2023 Restated – Note 33 |
|---|---|---|---|
| Cash at Bank - Current accounts | **34,573** | 62,538 | 68,693 |
| Cash at Bank – Time Deposits | **7,000** | - | - |
| Cash on hand | **723** | 1,216 | 897 |
| | **42,296** | 63,754 | 69,590 |

- Cash at bank – current accounts is non-interest bearing.
- The average rate on bank deposits during 2024 is 4.65% per annum with an original maturity of three month or less.

## 12. Assets held for sale

On December 19, 2023, the Board approved to sell land owned by the Group in Misfah area. The Group completed the process of sale a significant part of the held for sale assets during the year with total cost of 8.9 and total proceeds SAR 13.1 million and capital gains SAR 4.3 million. The remaining property is currently not used for the Group's operations and its book value is SAR 72 Thousand.

## 13. Share Capital

The Company's share capital at 31 December 2024 amounted to SAR 1,000 million (2023: SAR 800 million), consisting of 1,000 million (2023: 800 million) fully paid and issued shares of SAR 10 each. Holders of these shares are entitled to dividends as declared from time to time and entitled to one vote per share at a general assembly meeting.

| | **2024** | 2023 |
|---|---|---|
| Authorized ordinary shares of SR 10 each (Shares in "000") | **100,000** | 80,000 |
| Fully paid ordinary shares of SR 10 each (Shares in "000") | **100,000** | 80,000 |
| Value of issued ordinary shares each (SAR "000") | **1,000,000** | 800,000 |

The Extraordinary General Assembly meeting dated 20 Dhu al-Hijjah1445 (Corresponding to 26 June 2024) approved the Company's capital to be increased by granting bonus shares to the Company's shareholders by capitalizing an amount of SAR 200,000,000 (two hundred million Saudi Riyals) from the retained earnings Therefore, the value of the share capital after the increase is SAR 1,000 million against 100 million shares.

## 14. Statutory reserve

The statutory reserve included in the consolidated financial statements as of 31 December 2023, was required under the Company's previous by-laws. However, following amendments to the Company's by-laws during the year ended 31 December 2024, the requirement to set aside a statutory reserve has been removed.

The Extraordinary General Assembly meeting dated 20 Dhu al-Hijjah1445 (Corresponding to 26 June 2024) approved that Company's entire statutory reserve amounting to SAR 241,714,802 to be transferred to the Retained Earnings.

## 15. Treasury shares

At of 31 December 2023, the Group had 34,021 shares amounting to SAR 449,000. However, during 2024, the Extraordinary General Assembly approved in its meeting dated 20 Dhu al-Hijjah1445 (Corresponding to 26 June 2024) to purchase up to a maximum of 320,000 shares of the Company for the purpose of allocating them to the Company's employee share scheme.

During the year 2024, the Company purchased 285,979 shares amounting to SAR 8,662,639 at an average price of SAR 30.29 per share.

As at 31 December 2024, the total treasury shares equal to 320,000 shares and have a value of SAR 9,111,610 while during the year, the Group did not make any transfers of treasury shares to its employees.

## 16. Borrowings

### 16.1- Long-term borrowings

| | **31 December 2024** | 31 December 2023 Restated –Note 33 | 1 January 2023 Restated –Note 33 |
|---|---|---|---|
| Loans from local private banks (B) | **156,774** | 348,048 | 416,623 |
| Saudi Industrial Development Fund – SIDF loan (C) | **114,343** | 173,215 | 78,120 |
| Saudi export and import bank (D) | **49,877** | - | - |
| Accrued finance cost at the end of the year | **8,996** | 9,342 | 8,436 |
| **Balance at the end of the year** | **329,990** | 530,605 | 503,179 |

A- The Movement of the present value of borrowing obtained from Long-term borrowings:

| | **31 December 2024** | 31 December 2023 Restated – Note 33 | 1 January 2023 Restated – Note 33 |
|---|---|---|---|
| Borrowings at the beginning of the year | **521,263** | 494,743 | 657,519 |
| Receipts during the year | **305,546** | 236,002 | - |
| Payments during the year | **(505,815)** | (209,482) | (162,776) |
| **Present value of borrowings at end of the** | **320,994** | 521,263 | 494,743 |
| Accrued finance cost at the end of the year | **8,996** | 9,342 | 8,436 |
| **Total borrowings** | **329,990** | 530,605 | 503,179 |

Details of long-term borrowings are presented in the statement of financial position as follows:

| | | | |
|---|---|---|---|
| Current portion of long-term borrowings | **110,950** | 231,376 | 220,374 |
| Non-current portion of long-term borrowings | **219,040** | 299,229 | 282,805 |

B- The Group obtained long-term Islamic Murabaha and Tawarruq loan facilities from local commercial banks of which utilized amount is SAR 156 million (2023: SAR 348 million) for the purpose of financing the expansion of its plants. The bank facilities are guaranteed by promissory Notes in favor of the banks. The loans charges are determined based on the Murabaha and Tawarruq agreement and the periodic (quarterly) loan repayments will be end on 22 July 2027. These loan bear financial charges based on EIBOR plus margin of 0.9% p.a.

C- The Group obtained loans from the Saudi Industrial Development Fund to finance the expansion of the new factory for porcelain tiles. Loan payments are due in variable installments beginning on Rabi' al-Thani 15, 1447H (corresponding to October 7, 2025), and ending on Shawwal 15, 1454H (corresponding to January 17, 2033). The borrowings of the Group from SIDF, denominated in SAR, are secured by a mortgage on land, building, plant and machineries equivalent to the outstanding borrowings. The book value of these assets is SAR 379 million (31 December 2023: SAR 908 million). upfront fees were deducted as the time of receipt of the loan, these fees are amortized over the periods respective loan. The loan bears a follow up fees to be paid on periodic basis.

D- During the year the Group obtained a long-term Islamic Murabaha facility amounted 50 million and profit rate 5.70% per annum (2023: SAR Nil million) for the purpose of financing working capital to cover the exports costs. This borrowings under Islamic banking facilities (Murabaha) are secured by promissory Notes given by the Group and are denominated in SAR. The Islamic banking facilities (Murabaha) with a maturity period of less than two years are predominantly of a non-revolving nature and the repayment will start in September 2025 and ending on February 2026.

E- Borrowing costs amounting to SAR 9.1 million has been capitalized to assets under construction (December 2023: SAR 8.5 million).

## 16. Borrowings (Continued)

### 16.2- Loan covenants – Long-term borrowings

The above loans and facilities include certain covenants which require the Group to maintain a certain level of financial conditions and certain other requirements. As at 31 December 2024 the Group is in compliance with these covenants. (As at 31 December 2023, Ceramics pipes company (a subsidiary company) did not comply with some of the terms of the loan agreements and accordingly the non-current portion of the loan was reclassified to current liabilities).

### 16.3. Short-term borrowings

The Group obtained short-term borrowing loans amounting to SAR 405.8 million (2023: SAR 279.9 million) for the purpose of financing working capital with average interest rate equal to Sibor plus 1%. They represented Islamic Murabaha and Tawarruq loans granted to the Group by local commercial banks and the Saudi Industrial Development Fund with maturity of one year. These loans were predominantly of a revolving nature and loans' charges were determined based on the basis of market prices. The borrowings under Islamic banking facilities (Murabaha) are secured by promissory Notes given by the Group and are denominated in SAR.

**The following is the movement of the short-term borrowing**

| | **31 December 2024** | 31 December 2023 Restated – Note 33 | 1 January 2023 Restated –Note 33 |
|---|---|---|---|
| Balance, beginning of the year | **278,715** | 160,551 | - |
| Receipts during the year | **667,329** | 327,625 | 160,551 |
| Payments during the year | **(543,180)** | (209,461) | - |
| **Balance, ending of the year** | **402,864** | 278,715 | 160,551 |
| Finance cost for the year | **2,991** | 1,257 | 674 |
| | **405,855** | 279,972 | 161,225 |

Details of short-term borrowings and facilities are presented in the statement of financial position as follows:

| | **31 December 2024** | 31 December 2023 Restated –Note 33 | 1 January 2023 Restated –Note 33 |
|---|---|---|---|
| Short-term loans by local commercial banks | **402,298** | 278,715 | 160,551 |
| Short-term loans by SIDF | **566** | - | - |
| Finance cost for the year | **2,991** | 1,257 | 674 |
| | **405,855** | 279,972 | 161,225 |

### 16.4- Loan covenants - Short-term borrowings

The above facilities include certain covenants which require the Group to maintain a certain level of financial conditions and certain other requirements. As at 31 December 2024, the Group has met the debt covenants compliance requirements except for debt service cover ratio for a short-term loan from a local financial institution amounting to SAR 45 million.

## 17. Employees' post-employment benefits

A- The Group determines the present value of employees' defined benefit plan measurement obligations determined by an actuarial valuation in the projected unit credit method. The significant actuarial assumptions used by an independent external actuary are as follows:

| | **2024** | 2023 |
|---|---|---|
| Discount rate | **5.40%** | 4.55% |
| Salary increases | **4%** | 3.20% |
| Employee's turnover | **Moderate** | Moderate |

B- The movement of employees defined benefit plan obligations for the years ended on December 31 as follows:

| | **2024** | 2023 |
|---|---|---|
| Balance at the beginning of the year | **87,620** | 90,868 |
| **Charged in Consolidated statement of profit or loss** | | |
| Current service cost | **9,686** | 9,554 |
| Interest cost | **3,590** | 3,454 |
| **Charged in other comprehensive income** | | |
| Actuarial gain / (loss) from re-measurement | **435** | (2,587) |
| Paid during the year | **(10,523)** | (13,669) |
| **Present value at 31 December 2024** | **90,808** | 87,620 |

### C- Sensitivity analysis

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the employees' post-employment benefit liability by the amount shown below:

| | **2024** | 2023 |
|---|---|---|
| Base liability | **90,808** | 87,620 |

| | **As at 31 December 2024** | | As at 31 December 2023 | |
|---|---|---|---|---|
| | **Increase 1%** | **Decrease 1%** | Increase 1% | Decrease 1% |
| Discount rate | **83,107** | **93,437** | 80,106 | 90,769 |
| Future salary growth rate | **93,465** | **82,996** | 91,227 | 79,710 |

## 18. Trade and other payables

| | **31 December 2024** | 31 December 2023 Restated – Note 33 | 1 January 2023 Restated –Note 33 |
|---|---|---|---|
| Trade payables | **210,530** | 223,308 | 245,808 |
| Refund liability | **32,745** | 31,423 | 25,407 |
| Accrued expenses | **33,683** | 47,897 | 57,134 |
| Employees provisions | **11,030** | 11,801 | 12,341 |
| Retention payable | **2,401** | 2,543 | 6,047 |
| Others | **26,844** | 24,125 | 23,251 |
| | **317,233** | 341,097 | 369,988 |

## 19. Zakat Provision

A- The movement on zakat provision for the year are as follows:

| | **2024** | 2023 |
|---|---|---|
| Balance at the beginning of the year | **33,974** | 30,181 |
| Charge during the years | **8,058** | 21,470 |
| Reverse of provision no longer required | **(4,858)** | - |
| Paid during the year | **(26,379)** | (17,677) |
| Balance at the end of the year | **10,795** | 33,974 |

B- The following is the zakat position of the Saudi Ceramic Company and its subsidiaries:

**Saudi ceramic company**

The Company submitted zakat returns to the Zakat, Tax, and Customs Authority for the years up to 2023, and obtained the required certificates for those years. The company completed the Zakat assessment up to 2022. The company didn't receive any zakat assessments for 2023.

During 2024, the Company received final zakat assessments for the years 2021 and 2022 from Zakat, Tax, and Customs Authority (the Authority) with Zakat differences amount of SAR 3.9 million. The management accepted the final assessment result, and it has been paid in 2024.

**Ceramics investment Company**

The Company submitted zakat returns to the Zakat, Tax, and Customs Authority for all previous years since its establishment until the year ended 31 December 2023, and obtained the required certificates for those years. The company didn't receive any zakat assessment since the operation activities have not been started.

**Arzan company**

The company submitted zakat returns to the Zakat, Tax, and Customs Authority for all previous years since its establishment until the year ended 31 December 2023, and obtained the required certificates for those years. The company didn't receive any zakat assessment since the operation activities have not been started.

**Ceramics pipes company**

The company ended its zakat assessment till 2018 and submitted zakat returns to the Zakat, Tax, and Customs Authority for all years from 2019 till 2023 and obtained the required certificates for those years. The company didn't receive any zakat assessments from 2019 onwards until the reporting date.

## 20. Revenues, net

**Classification of revenue from contracts with customers**

The Group derives revenue from the transfer of goods (at a point in time) in the following major product lines and geographical regions:

| | 31 December 2024 | | | | |
|---|---|---|---|---|---|
| | **Ceramics tiles and sanitary ware** | **Water heaters** | **Red Brick** | **Ceramic pipes** | **Total** |
| **Primary geographical markets** | | | | | |
| Local | **864,819** | **347,085** | **12,278** | **19,221** | **1,243,403** |
| Export | **22,651** | **82,743** | **-** | **-** | **105,394** |
| | **887,470** | **429,828** | **12,278** | **19,221** | **1,348,797** |
| **Timing of revenue recognition** | | | | | |
| At point in time | **887,470** | **429,828** | **12,278** | **19,221** | **1,348,797** |

| | 31 December 2023 | | | | |
|---|---|---|---|---|---|
| | **Ceramics tiles and sanitary ware** | **Water heaters** | **Red Brick** | **Ceramic pipes** | **Total** |
| **Primary geographical markets** | | | | | |
| Local | 809,856 | 345,103 | 15,457 | 16,906 | 1,187,322 |
| Export | 41,434 | 86,112 | - | - | 127,546 |
| | 851,290 | 431,215 | 15,457 | 16,906 | 1,314,868 |
| **Timing of revenue recognition** | | | | | |
| At point in time | 851,290 | 431,215 | 15,457 | 16,906 | 1,314,868 |

### 20.2 Contract balances

The following table provides information about contract liabilities from contracts with customers including provision for customers' incentives against the volume of sales as of 31 December:

| | **2024** | 2023 |
|---|---|---|
| Receivables, which are included in trade and other receivables – Note 10 | **308,668** | 337,446 |
| **Contract balances which are included in statement of financial position** | | |
| Provision for customers' incentives - Note 10 | **65,207** | 67,712 |
| Refund liability- Note 18 | **32,745** | 31,423 |

## 21. Cost of revenues

Cost of revenues for the year ended 31 December comprises the following:

| | **2024** | 2023 |
|---|---|---|
| Raw materials consumed | **635,214** | 573,660 |
| Salaries, wages and other employee costs | **174,790** | 183,095 |
| Depreciation on property, plant and equipment (Note 5) | **100,767** | 104,550 |
| Energy cost | **80,350** | 92,100 |
| Provision for inventories, net (Note 9) | **43,548** | 63,434 |
| Repairs and maintenance | **32,384** | 40,250 |
| Rent | **5,141** | 414 |
| Depreciation on right-of-use assets (Note 6) | **2,724** | 3,102 |
| Others | **20,135** | 16,940 |
| | **1,095,053** | 1,077,545 |

## 22. Selling and marketing expenses

Selling and marketing expenses for the year ended 31 December comprises the following:

| | **2024** | 2023 |
|---|---|---|
| Salaries, wages and other employee costs | **94,219** | 85,974 |
| Fuel, Freight and transportation charges | **69,203** | 50,843 |
| Depreciation on right-of-use assets (Note 6) | **16,815** | 13,255 |
| Depreciation on property, plant and equipment (Note 5) | **13,514** | 15,671 |
| Advertising and promotion | **9,513** | 8,009 |
| Fuel, repairs and maintenance | **6,454** | 6,919 |
| Communication, License & Professional Fee | **5,491** | 3,080 |
| Rent | **4,054** | 766 |
| Others | **8,704** | 13,348 |
| | **227,967** | 197,865 |

## 23. General and administrative expenses

General and administrative expenses for the year ended 31 December comprise the following:

| | **2024** | 2023 |
|---|---|---|
| Salaries, wages and other employee costs | **46,892** | 46,945 |
| Communication, License & Professional Fee* | **4,701** | 3,512 |
| Provision for directors' remuneration | **3,440** | 3,086 |
| Depreciation of property, plant and equipment (Note 5) | **2,861** | 2,733 |
| Repairs and maintenance | **1,485** | 1,035 |
| Depreciation on right-of-use assets (Note 6) | **-** | 97 |
| Others | **5,290** | 4,027 |
| | **64,669** | 61,435 |

*The professional fees for auditing the annual financial statements and reviewing the interim financial statements for the Group amounted to SAR 625,000.

## 24. Finance cost

Financial costs for the year ended 31 December comprises the following:

| | **2024** | 2023 |
|---|---|---|
| Interest expense on financial liabilities measured at amortized cost | **39,996** | 39,302 |
| Interest in expense on lease liabilities (6-c) | **6,167** | 3,665 |
| **Total Finance Cost** | **46,163** | 42,967 |

| **Loan Type** | **Short-term and long-term borrowings as at December 31** | | **Interest expense for the year ended December 31** | |
|---|---|---|---|---|
| | **2024** | 2023 | **2024** | 2023 |
| Murabaha & Tawarruq | **562,063** | 623,068 | **34,303** | 36,489 |
| Banks and government authorities | **173,782** | 187,509 | **5,693** | 2,813 |
| **Total** | **735,845** | 810,577 | **39,996** | 39,302 |

## 25. Other income

Other income for the year ended 31 December comprises the following:

| | **2024** | 2023 |
|---|---|---|
| Training support program | **15,280** | 10,098 |
| Gain from sale of property, plant and equipment | **8,034** | 36,801 |
| Reversal of zakat provision | **4,858** | - |
| Gain from sale of assets held for sale | **4,292** | - |
| Scrap sales | **11,612** | 11,941 |
| Gains on disposal of investment in associates | **3,807** | 23,137 |
| Rental income (A) | **1,895** | 3,601 |
| Others | **7,838** | 11,679 |
| | **57,616** | 97,257 |

Rental income relates to a portion of the building and a warehouse rented on a temporary basis, these contracts are classified as operating leases and are deemed inseparable.

## 26. Operating Segments

The Group's principal business activities involve manufacturing and trading of different types of ceramic and porcelain products and water heaters. The Group has the following three strategic divisions, which are its reportable segments. The Group's Chief Executive Officer reviews the internal management reports of each segment in monthly basis.

The following summary describes the operations of each reportable segment

| **Reportable segment** | **Operations** |
|---|---|
| Ceramic tiles and sanitary ware | Manufacturing and distribution of ceramic, porcelain tiles and sanitary ware items |
| Water heaters | Manufacturing and distribution of electric water heaters |
| Ceramic pipes | Manufacturing and distribution of clay pipes for sanitary ware and sewage networks |

Other operations include the red bricks manufacturing and distribution, plastic, packaging, head office and desert mines (branch). None of these segments meets any of the quantitative thresholds for determining reportable segments in 2024 and 2023.

**26-1 Information about reportable segments**

Information related to each reportable segment is set out below. Segment profit / (loss) before zakat is used to measure performance because management believes that this information is the most relevant in evaluating the results of the respective segments relative to other entities that operate in the same industries.

| | Ceramic tiles and sanitary ware | Water heaters | Ceramic Pipes Company | Total |
|---|---|---|---|---|
| **As at 31 December 2024** | | | | |
| Revenue from local customers | **877,097** | **347,085** | **19,221** | **1,243,403** |
| Revenue from export customers | **22,651** | **82,743** | **-** | **105,394** |
| **Total Segment revenue** | **899,748** | **429,828** | **19,221** | **1,348,797** |
| Impairment loss | **(45,357)** | **-** | **(5,713)** | **(51,070)** |
| Segment profit/ (loss) before zakat | **(83,872)** | **45,849** | **(33,171)** | **(71,194)** |
| **As at 31 December 2024** | | | | |
| Segment assets | **1,699,087** | **856,538** | **120,984** | **2,676,609** |
| Segment liabilities | **832,364** | **397,602** | **21,943** | **1,251,909** |

| | Ceramic tiles and sanitary ware | Water heaters | Ceramic Pipes Company | Total |
|---|---|---|---|---|
| **As at 31 December 2023** | | | | |
| Revenue from local customers | 825,313 | 345,103 | 16,906 | 1,187,322 |
| Revenue from export customers | 41,434 | 86,112 | - | 127,546 |
| **Total Segment revenue** | 866,747 | 431,215 | 16,906 | 1,314,868 |
| PP&E Impairment loss | (136,880) | - | (78,224) | (215,104) |
| Segment profit/(loss) before zakat | (167,148) | 53,962 | (102,863) | (216,049) |
| **As at 31 December 2023** | | | | |
| Segment assets | 2,474,909 | 293,620 | 100,247 | 2,868,776 |
| Segment liabilities | 1,063,018 | 175,759 | 115,834 | 1,354,611 |

The Group's revenue is derived from contracts with customers for sale of consumer products. Control of products is transferred at a point in time and directly sold to customers.

## 26. Operating Segments (Continued)

### 26-1 Information about reportable segments (Continued)

The geographic information analyses the Group's revenue and non-current assets by the Company's country of incorporation and other countries. In presenting the geographic information, segment revenue has been based on the geographic location of customers and segment assets were based on the geographic location of the assets. The five largest customers accounts are approximately 39% of the revenue at 31 December 2024 (31 December 2023: 37%).

Segment assets are measured in the same way as in the Consolidated Financial Statements. These assets are allocated and analyzed based on the operations of the segment.

### 26-2 The revenue from business segments categorized by geographical region is as follows:

| As at 31 December 2024 | 2024 | 2023 |
|---|---|---|
| Saudi Arabia | **1,243,403** | 1,187,322 |
| Other GCC Countries | **81,742** | 84,279 |
| Other Countries | **23,652** | 43,267 |
| **Total** | **1,348,797** | 1,314,868 |

### 26-3 The geographical distribution of the Group's property, plant and equipment is as follows:

| As at 31 December 2024 | 2024 | 2023 |
|---|---|---|
| Saudi Arabia | **1,546,358** | 1,513,398 |
| **Total** | **1,546,358** | 1,513,398 |

## 27. Related party transactions and balances

Related parties represent major shareholders, members of the Board of Directors of the Company, key management personnel of the Company, and entities managed, or a significant influence is exercised over them by these parties. The transactions with subsidiaries mainly comprise financing and payments made on behalf of subsidiaries and those transactions are eliminated in the consolidated financial statements.

### 27-1 Board of Directors and Key Personnel Management

The Senior Executives, including the Chief Executive Officer and the Chief Financial Officer, receive remuneration according to the employment contracts signed with them, while the board of directors receive remuneration according to the board of directors' remuneration policy that approved by the General Assembly.

The following table illustrates details of remuneration and compensations paid to Directors and Key Management Personnel:

## 27. Related party transactions and balances (Continued)

### 27-1 Board of Directors and Key Personnel Management

The remuneration of the board of directors and other key management personnel charged during the year are as follows:

| | **31 December 2024** | | | 31 December 2023 | | |
|---|---|---|---|---|---|---|
| | **Board Members** | **Executive Management** | **Total** | Board Members | Executive Management | Total |
| Salaries and short-term benefits | **-** | **5,343** | **5,343** | - | 7,368 | 7,368 |
| Remuneration and allowances | **3,568** | **2,191** | **5,759** | 3,254 | 4,521 | 7,775 |
| **Total** | **3,568** | **7,534** | **11,102** | 3,254 | 11,889 | 15,143 |

### 27-2 Other related party transactions

During the normal course of its operations, the Group had the following significant transactions with related parties during the year ended 31 December 2024 and 2023 along with their balances:

| | **Relation** | **Transactions for the year ended 31 December** | | **Balances as at 31 December** | |
|---|---|---|---|---|---|
| | | **2024** | 2023 | **2024** | 2023 |
| **Nature of Transaction** | | | | | |
| **Purchase of goods and services from:** | | | | | |
| Natural Gas Distribution Company | Affiliate | **45,487** | 39,457 | **3,988** | 5,591 |
| CHUBB Arabia Cooperative Insurance | Affiliate | **144** | 1,078 | **-** | 537 |
| | | **45,631** | 40,535 | **3,988** | 6,128 |
| **Dividends received from:** | | | | | |
| Natural Gas Distribution Company | Affiliate | **-** | 508 | **-** | - |

These balances are included in trade and other payables in statement of financial position.

## 28. Loss per share

### 28-1 Basic earnings per share

Basic earnings per share is calculated by dividing the following net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year.

| | For the year ended December 31 | |
|---|---|---|
| | **2024** | 2023 |
| Loss for the year attributable to the shareholders (SAR "000") | **(71,859)** | **(210,351)** |
| Weighted average number of shares (Shares in "000") – restated | **90,120** | **90,120** |
| Basic and diluted earnings per share (SR) | **(0.80)** | **(2.33)** |

Weighted average number of shares are adjusted to take account of Treasury Shares for the current and prior year and bonus shares issued during the year (Note 15).

### 28-2 Diluted earnings per share

The calculation of diluted earnings per ordinary share is based on net profit attributable to ordinary shareholders of the Group and the weighted average number of ordinary shares outstanding after adjustment for the effect of all potential dilutive ordinary shares. There were no potentially dilutive shares outstanding at any time during the year ending 31 December 2024, and 31 December 2023 respectively.

## 29. Contingent liabilities and outstanding issues

A- The Group has obtained bank facilities in the form of letters of guarantee and letters of credit from local banks amounting to SAR 111 million as at 31 December 2024 (31 December 2023: SAR 95 million). The letters of credit include an amount of SAR 7 million (31 December 2023: SAR 58 million) relating to capital commitments for the supply of machinery and equipment for the plant expansion projects.

B- During 2023, the Group had guaranteed a portion of the SIDF loan to Ceramics Pipes Company - CPC (the subsidiary) equivalent to its portion in the share capital of that Company as at 31 December 2023 for the amount of SAR 17.3 million (31 December 2022: SAR 29 million). Additionally, the Group guaranteed portion of the Saudi Investment Bank loan to the CPC for the amount of SAR 3.7 million (31 December 2022: SAR 9.3 million).
During 2024, CPC settled these loans and received clearance from SIDF and Saudi Investment Bank.

## 30. Financial instruments, risk management and fair value

### 30-1 Accounting classification and fair values measurement

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

| | Carrying amount | | | | Fair value | | | |
|---|---|---|---|---|---|---|---|---|
| **31 December 2024** | **Fair value – hedging instruments** | **Financial assets at FVOCI** | **Amortized cost** | **Total** | **Level 1** | **Level 2** | **Level 3** | **Total** |
| **Financial assets** | | | | | | | | |
| Financial assets at FVOCI | **-** | **7,877** | **-** | **7,877** | **-** | **-** | **7,877** | **7,877** |
| Trade and other receivables | **-** | **-** | **263,174** | **263,174** | **-** | **-** | **-** | **-** |
| Cash and cash equivalents excluding cash on hand | **-** | **-** | **41,573** | **41,573** | **-** | **-** | **-** | **-** |
| | **-** | **7,877** | **304,747** | **312,624** | **-** | **-** | **7,877** | **7,877** |
| Financial liabilities | | | | | | | | |
| Short-term loans | **-** | **-** | **405,855** | **405,855** | **-** | **-** | **-** | **-** |
| Long-term loans | **-** | **-** | **329,990** | **329,990** | **-** | **-** | **-** | **-** |
| Trade payables | **-** | **-** | **210,530** | **210,530** | **-** | **-** | **-** | **-** |
| | **-** | **-** | **946,375** | **946,375** | **-** | **-** | **-** | **-** |

## 30. Financial instruments, risk management and fair value (continued)

### 30-1 Accounting classification and fair values measurement (continued)

| | Carrying amount | | | | Fair value | | | |
|---|---|---|---|---|---|---|---|---|
| **31 December 2023** | **Fair value – hedging instruments** | **Financial assets at FVOCI** | **Amortized cost** | **Total** | **Level 1** | **Level 2** | **Level 3** | **Total** |
| **Financial assets** | | | | | | | | |
| Financial assets at FVOCI | - | 7,816 | - | 7,816 | - | - | 7,816 | 7,816 |
| Trade and other receivables | | | 286,865 | 286,865 | - | - | - | - |
| Cash and cash equivalents excluding cash on hand | - | - | 62,538 | 62,538 | - | - | - | - |
| | - | 7,816 | 349,403 | 357,219 | - | - | 7,816 | 7,816 |
| Financial liabilities | | | | | | | | |
| Short-term loans | - | - | 279,972 | 279,972 | - | - | - | - |
| Long-term loans | - | - | 530,606 | 530,606 | - | - | - | - |
| Trade payables | - | - | 223,308 | 223,308 | - | - | - | - |
| | - | - | 1,033,886 | 1,033,886 | - | - | - | - |

The following table shows the reconciliation from the opening balances to the closing balances for level 3 fair values for recurring fair value measurements.

| | As of December 31, | |
|---|---|---|
| | **2024** | 2023 |
| Balance at 1 January | **7,816** | 7,421 |
| **Gain included in OCI** | | |
| Net change in fair value (unrealized) | **61** | 395 |
| **Balance at 31 December** | **7,877** | 7,816 |

## 30. Financial instruments, risk management and fair value (continued)

### 30-2 Risk Management

The Company's overall risk management program focuses on the unpredictable fluctuations in financial markets and aims to minimize potential negative impacts on the Group's financial performance.

**Financial risk management framework**

Risk management policy is carried out by the senior management under policies approved by the Board of Directors. Senior management identifies, evaluates and hedges financial risks in close co-operation with the Group's operating units. The most important types of risk are credit risk, currency risk and fair value and cash flow interest rate risks.

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The executive management team is responsible for developing and monitoring the Group's risk management policies. The teamwork conducts meetings on a regular basis, and any changes or matters related to compliance with policies are reported to the Board of Directors through the Audit Committee.

The risk management systems are reviewed regularly by the executive management team to reflect changes in market conditions and the Group's activities. Through training, management standards and procedures, the Group aims to develop a responsible and constructive control environment so that all employees are aware of their roles and responsibilities.

The Audit Committee oversees the management's compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

Financial instruments included in the statement of financial position include cash and cash equivalents, trade and other receivables, financial assets, trade and other payables. The recognition methods used are disclosed in the individual policy statement for each item.

**30- Financial instruments, risk management and fair value (continued)**

**30-2 Risk Management (continued)**

The Group is exposed to the following risks as a result of its use of financial instruments:

a) Credit risks
b) Liquidity risk
c) Market risk

The Group's activities expose it to a variety of financial risks; credit risk, liquidity risk, market price risk and capital management risk.

**a) Credit risk management**

Credit risk is the risk of financial loss to the Group if a customer or counterparty fails to meet its contractual obligations and arises principally from the Group's trade receivables and cash and cash equivalents. The carrying amount of financial asset represents the maximum credit exposure. At 31 December, the gross exposure to credit risk for trade receivables by geographic region was as follows:

| | **2024** | 2023 |
|---|---|---|
| Saudi Arabia | **266,162** | 292,456 |
| Other GCC countries | **42,153** | 40,098 |
| Other countries | **353** | 4,892 |
| Total | **308,668** | 337,446 |

The Group applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure the expected credit losses, trade receivables have been Grouped based on shared credit risk characteristics and the days past due. The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. These adjusted loss rates in the current year are similar to the effective loss rates observed in the prior year. The Group has identified the GDP, unemployment rate, inflation rate and interest rate of the countries in which it sells its goods and services to be the most relevant factors and accordingly adjusted the historical loss rates based on expected changes in these factors.

Trade receivables outstanding balance comprises 86.2% (2023: 86.5%) in KSA, 13.6 % (2023: 12.1%) in GCC (other than KSA) and 0.20% (2023: 1.4%) in other Countries. The five largest customers account approximately for 47% of outstanding trade receivables at 31 December 2024 (2023: 40%).

The Group manages credit risk with respect to receivables from customers by monitoring them in accordance with defined policies and procedures. The Group seeks to limit its credit risk with respect to customers by setting credit limits for individual customers and by monitoring outstanding receivables on an ongoing basis. The Group limits its exposure to credit risk from trade receivables by obtaining letters of guarantee or letters of credit based on the credit history of the customer.

The Group applies the simplified approach to providing for expected credit losses prescribed by IFRS 9, which permits the use of the lifetime expected loss provision for all trade receivables. The loss allowance provision is determined as follows; the expected credit losses below also incorporate forward-looking information.

**30- Financial instruments, risk management and fair value (continued)**
**30-2- Risk management (continued)**
**a) Credit risk management (Continued)**

| **31 December 2024** | **Expected loss rate** | **Gross Carrying amount** | **Loss allowance provision** |
|---|---|---|---|
| Current | | | |
| **0 - 30 Days past due** | **0.09%** | **92,661** | **87** |
| **31 - 60 Days past due** | **0.08%** | **54,223** | **45** |
| **61 - 90 Days past due** | **0.12%** | **48,929** | **58** |
| **91 - 120 Days past due** | **0.29%** | **46,573** | **137** |
| **121 - 270 Days past due** | **1.54%** | **33,227** | **512** |
| **270+ Days past due** | **62.45%** | **33,055** | **20,644** |
| | | **308,668** | **21,483** |

| 31 December 2023 | **Expected loss rate** | **Gross Carrying amount** | **Loss allowance provision** |
|---|---|---|---|
| Current | 0.05% | 269,497 | 134 |
| 0 - 30 Days past due | 0.45% | 17,328 | 78 |
| 31 - 60 Days past due | 0.86% | 5,680 | 49 |
| 61 - 90 Days past due | 7.39% | 717 | 53 |
| 91 - 120 Days past due | 5.17% | 832 | 43 |
| 121 - 270 Days past due | 6.82% | 2,272 | 155 |
| 270+ Days past due | 62.34% | 41,120 | 25,633 |
| | | 337,446 | 26,145 |

During the year, the Group made SAR 241,000 (2023: SAR 1 million) write-off from trade receivables, as it does not expect to receive future cash flows from them and no recoveries from collection of cash flows previously written off.

**Cash and cash equivalents**
The Group held cash and cash equivalents of SAR 42.3 million at 31 December 2024 (31 December 2023: SAR 63.7 million). The cash and cash equivalents are held with banks with high credit ratings, ranging from BBB+ and above therefore, the Group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties.

## 30- Financial instruments, risk management and fair value (continued)
## 30-2 Financial risk management (continued)

**b) Liquidity Risk**

Liquidity risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from the inability to sell a financial asset quickly at an amount close to its fair value. The following are the contractual maturities at the end of the reporting period of financial liabilities. The amounts are grossed and undiscounted and include estimated interest till maturity.

| **31 December 2024** | Carrying amount | On demand or less than 1 year | Up to 5 years | More than 5 years |
|---|---|---|---|---|
| **Liabilities** | | | | |
| Loans and Borrowings | **735,845** | **516,805** | **219,040** | - |
| Trade and other payables | **317,233** | **317,233** | - | - |
| | **1,053,078** | **834,038** | **219,040** | - |

| **31 December 2023** | Carrying amount | On demand or less than 1 year | Up to 5 years | More than 5 years |
|---|---|---|---|---|
| **Liabilities** | | | | |
| Loans and Borrowings | 810,578 | 511,348 | 299,229 | - |
| Trade and other payables | 341,097 | 341,097 | - | - |
| | 1,151,675 | 852,445 | 299,229 | - |

*Capital management*

The primary objective of the Group's capital management is to ensure that it maintains a strong capital base to support its business and to sustain the future development of the Group. Management monitors the capital structure and make adjustments to it in light of economic conditions. The Group is not subject to any externally imposed capital requirements. The Group monitors capital using a gearing ratio, which is calculated as net debt divided by total equity. Debt is calculated as total borrowings (non-current and current loans as shown in the statement of financial position) less cash and cash equivalents.

## 30- Financial instruments, risk management and fair value (continued)

### 30-2 Financial risk management (continued)

*Market risk management*

Market risk is the risk of the potential impact of changes in market prices, such as foreign exchange rates and commission rates. The objective of market risk management is to manage and control market risk exposure within acceptable limits while achieving the highest possible return.

A- **Foreign exchange rate risk:** Foreign exchange rate risk results from changes and fluctuations in the value of financial instruments as a result of changes in foreign exchange rates. The Group did not carry out any operations of relative importance in currencies except for the Saudi Riyal, the US Dollar and the Euro. Since the Saudi Riyal exchange rate is fixed against the US dollar and does not represent significant currency risk, the Group's management monitors currency exchange rates and believes that currency risk is not effective.

B- **Commission rate risk:** Commission rate risks are the exposures to various risks associated with the effect of fluctuations in the prevailing commission rates on the Group's financial position and cash flows. The Group is subject to the risk of fluctuating commission charges at prevailing market rates on its bank loans and facilities that carry variable commission rates and amounts to SAR 559 million at 31 December 2024 (31 December 2023: SAR 627million). The Group's policy is to manage its finance cost using a mix of fixed and variable commission rate borrowings and the Group is working on minimizing the risks on commission rates through monitoring the expected fluctuations in the commission rates.

The following table demonstrates the sensitivity of the income to reasonably possible changes in commission rates, with all other variables held constant. There is no direct impact on the Group's equity.

| | Increase/ decrease in basis points of commission rates | Effect on income for the year |
|---|---|---|
| **31 December 2024** | **+100** | **(5,590)** |
| | **-100** | **5,590** |
| **31 December 2023** | **+100** | **(6,270)** |
| | **-100** | **6,270** |

## 31- Non-controlling interest

The following table summarizes the information relating to non-controlling interests in CPC, before any intra-Group eliminations.

| | **2024** | 2023 |
|---|---|---|
| NCI percentage | **22.11%** | 26.11% |
| Non-current assets | **88,187** | 100,246 |
| Current assets | **21,770** | 44,859 |
| Non-current liabilities | **(98,346)** | (2,337) |
| Current liabilities | **(15,597)** | (113,400) |
| **Net assets** | **(3,986)** | 29,368 |
| **Net assets attributable to NCI** | **(881)** | 7,668 |
| NC- Share in CPC land fair value | **1,988** | 1,988 |
| **Total NCI share in CPC** | **1,107** | 9,656 |
| Revenue | **19,221** | 16,906 |
| Loss | **(33,436)** | (103,515) |
| Share of loss of CPC allocated to NCI | **(7,393)** | (27,168) |

With effect from 4 July 2024, the shareholding of the Group in CPC has increased to 77.89%. Refer Note 1.

## 32- Significant events.

On July 15, 2023, a fire occurred in the sanitary ware department in the Group's second factory, which led to damage to machinery and equipment at book value amounted to SAR 136.8 million. (Note 5), The fire also led to damage to Inventories which cost amounted to SAR 27.9 million (Note 9) on the date of the fire and was included in the costs. The factory has insurance coverage for loss resulting from such accidents as well as compensation for loss resulting from business interruption. The Group submitted the claim to the insurance Company and submitted all the required documents to the insurance Company in order to demand compensation from the insurance Company for the damages that resulted from the fire. Evaluation of the claim by the insurance Company is still in effect as of the date of these financial statements. The management believes that insurance coverage is sufficient to cover the losses resulting from the fire.

**33- Restatement and reclassification of comparative information**

The Company restated certain amounts and balances included in the prior period financial statements. Accordingly, the opening balances of the year ended December 31, 2023 have been restated as per the revised presentation, as shown below:

**33-A. Impact on the statement of financial position**

| Statement of financial position | 31 December 2023 | | | 1 January 2023 | | |
|---|---|---|---|---|---|---|
| | As previously reported | Adjustment | As currently reported | As previously reported | Adjustment | As currently reported |
| A. Trade and other receivables | 349,667 | 62,802 | 286,865 | 311,184 | 35,843 | 275,341 |
| B. Cash and cash equivalents | 64,677 | 923 | 63,754 | 70,693 | 1,103 | 69,590 |
| C. Short term borrowings | 278,715 | 1,257 | 279,972 | 160,551 | 674 | 161,225 |
| D. Long-term borrowings, | 222,034 | 9,342 | 231,376 | 211,938 | 8,436 | 220,374 |
| E. Trade and other payables | 415,421 | (74,325) | 341,096 | 416,044 | (46,056) | 369,989 |

**33-B. Impact on the statement of cashflows for the year ended 31 December 2023**

| Statement of Cash flows | 31 December 2023 | | |
|---|---|---|---|
| | As previously reported | Adjustment | As currently reported |
| A. Provision for customer's incentive | - | 32,153 | 32,153 |
| B. Trade and other receivables | (43,982) | (5,194) | (49,176) |
| C. Finance cost payment | (47,833) | 2,737 | (45,096) |
| D. Cash and cash equivalents | 64,677 | (923) | 63,754 |
| E. Trade and other payables | 624 | (29,515) | (28,891) |

**33- Restatement and reclassification of comparative information (continued)**

**A. Trade and other receivables**

This includes:

i. Restatement of provision for customers' incentive from trade and other payables to trade and other receivables.
ii. Restatement of foreign exchange gain/loss from trade and other payables to trade and other receivables
iii. Reclassification of advances from customers from trade and other payables to trade and other receivables

**B. Cash and cash equivalents**

This includes Restatement of foreign exchange gain/loss from trade and other payables to Cash and cash equivalents

**C. Short term borrowings**

This includes reclassification of accrued finance costs from trade and other payables to Short term borrowings

**D. Long-term borrowings, current portion**

This includes reclassification of accrued finance costs from trade and other payables to Long term borrowings

**E. Trade and other payables**

This includes the restatement and reclassification impacts from A, B, C and D above.

These restatements and reclassifications have no impact on the Consolidated statement of profit or loss and other comprehensive income, and the consolidated statements of changes in equity for the years ended 31 December 2023 and 31 December 2022 and net loss attributable to the shareholders or the basic and diluted loss per share for the year then ended.

**34- Subsequent events**

There have been no significant subsequent events since the year end that would require additional disclosures or adjustments in these consolidated financial statements.

**35- Approval of Consolidated financial statements**

These Consolidated Financial Statements were approved by the Board of Directors on 25 Shaban 1446 A.H. (corresponding to 24 February 2025).